

QuickBooks Online

LA Studio LTD

Photographic Industry



Photographic Industry

Technical topic: Standard VAT

SOFTWARE: QUICKBOOKS Online

VAT: QE March 2025

Practical Booklet

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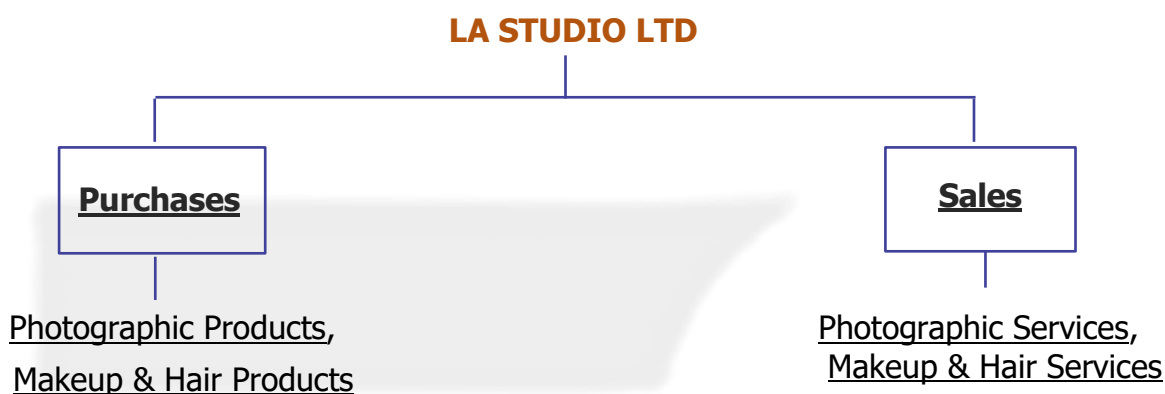


Client's Background Information

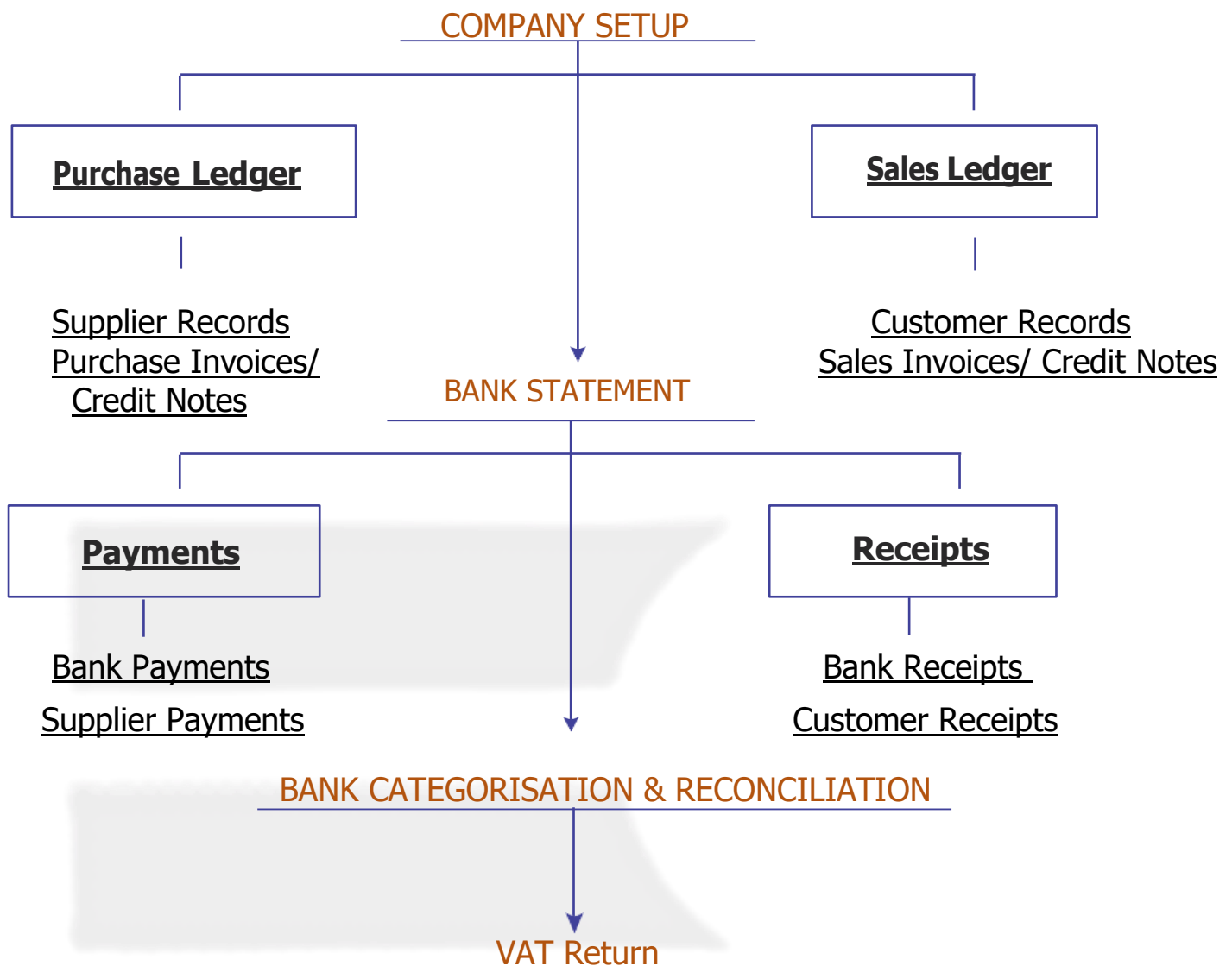
LA Studio operates in the photographic industry. LA studio has a team of professional photographers who provide **photographic processing services**.

The company provides the following services: portrait photography, fashion photography, specialist photography, and video recording of special events. **LA studio is also providing makeup and hair services.**

In terms of purchases, LA studio buys items needed to provide photographic services, along with products to provide makeup & hair services.



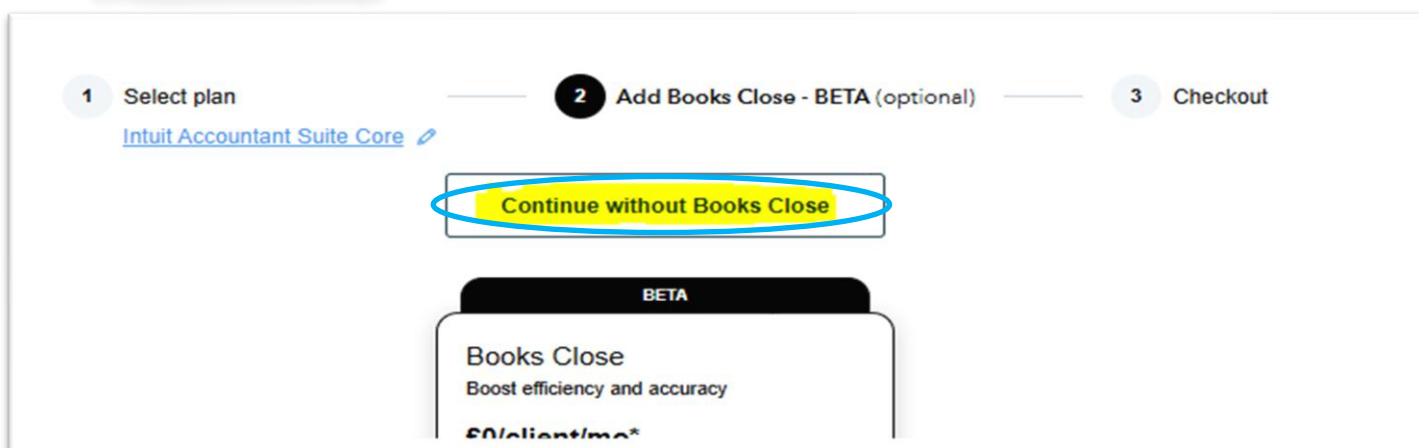
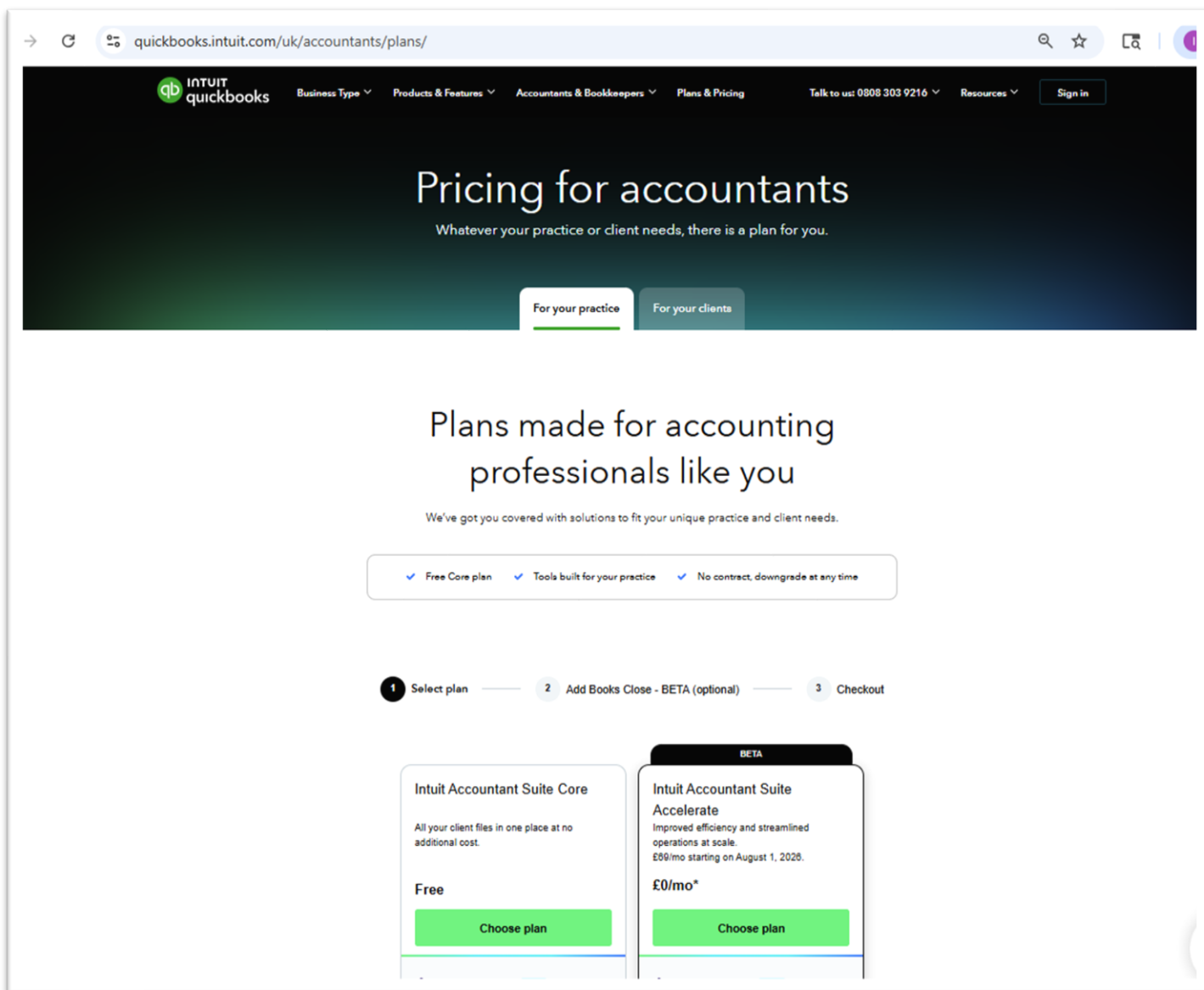
Bookkeeping Workflow:



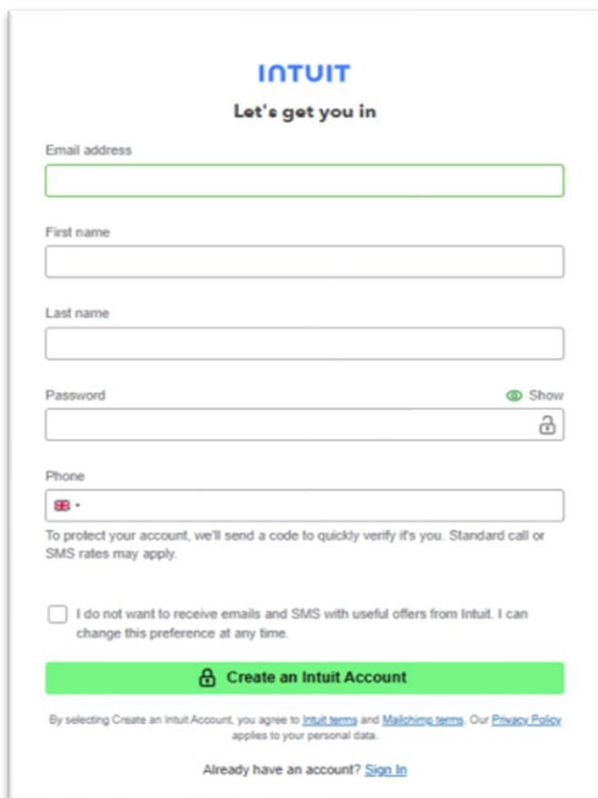
Company Setup

<https://quickbooks.intuit.com/uk/accountants/plans/>

Click the link to create a QuickBooks Online account. After clicking the link, you will a screen on which you can click on **"Free Choose Plan"** to create a QuickBooks account then click on **"Continue without Books Close"**.



Then you will see a prompt to create an account. Here, kindly add your personal details and then put the code you have received on your Phone.



INTUIT
Let's get you in

Email address

First name

Last name

Password [Show](#)

Phone

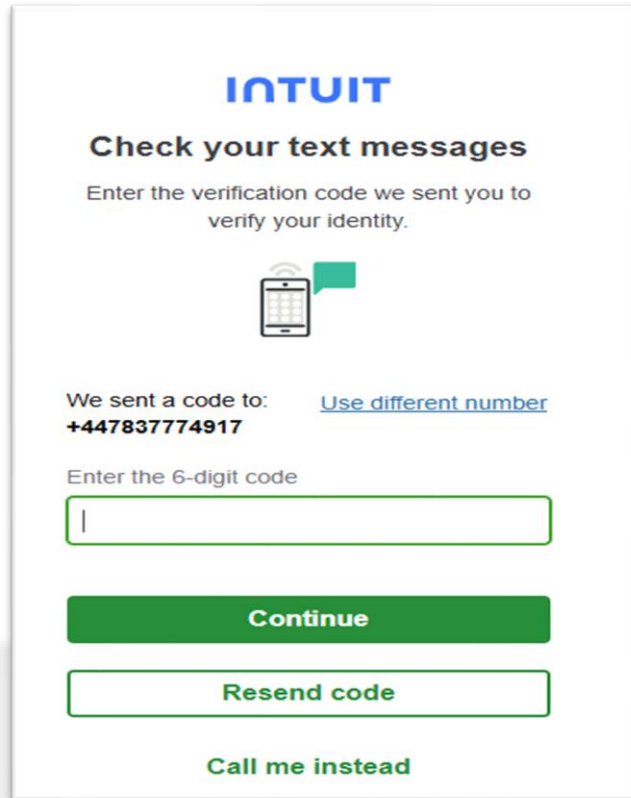
To protect your account, we'll send a code to quickly verify it's you. Standard call or SMS rates may apply.

☐ I do not want to receive emails and SMS with useful offers from Intuit. I can change this preference at any time.

[Create an Intuit Account](#)

By selecting Create an Intuit Account, you agree to [Intuit terms](#) and [Matching terms](#). Our [Privacy Policy](#) applies to your personal data.

Already have an account? [Sign in](#)



INTUIT

Check your text messages

Enter the verification code we sent you to verify your identity.



We sent a code to: [Use different number](#)
+447837774917

Enter the 6-digit code

[Continue](#)

[Resend code](#)

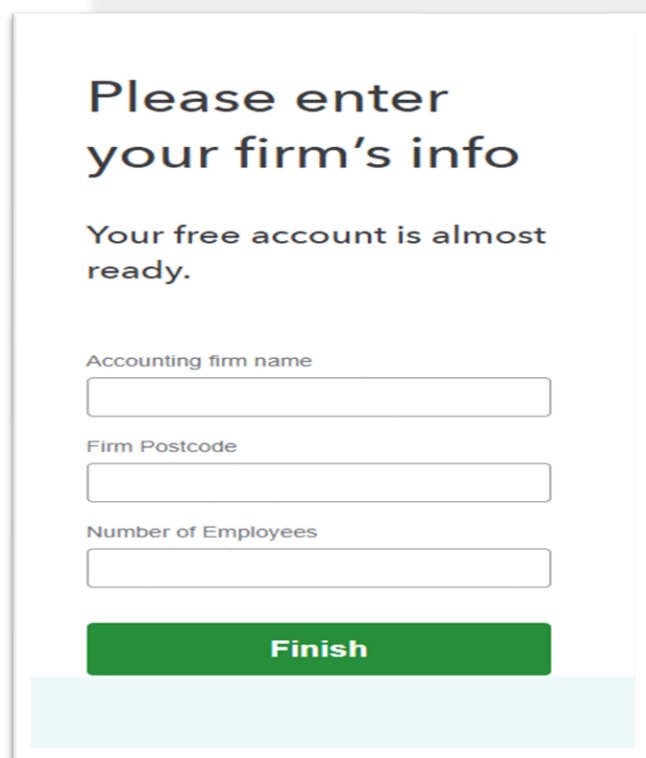
[Call me instead](#)

After creating an account, next we will set up the company by following the given details & Finish:

Accounting Firm name: LA Studio Ltd

Firm Postcode: You can put the postcode of their own area, or Ha1 1lj

Employees: You can put any number; we recommend putting 0.



Please enter your firm's info

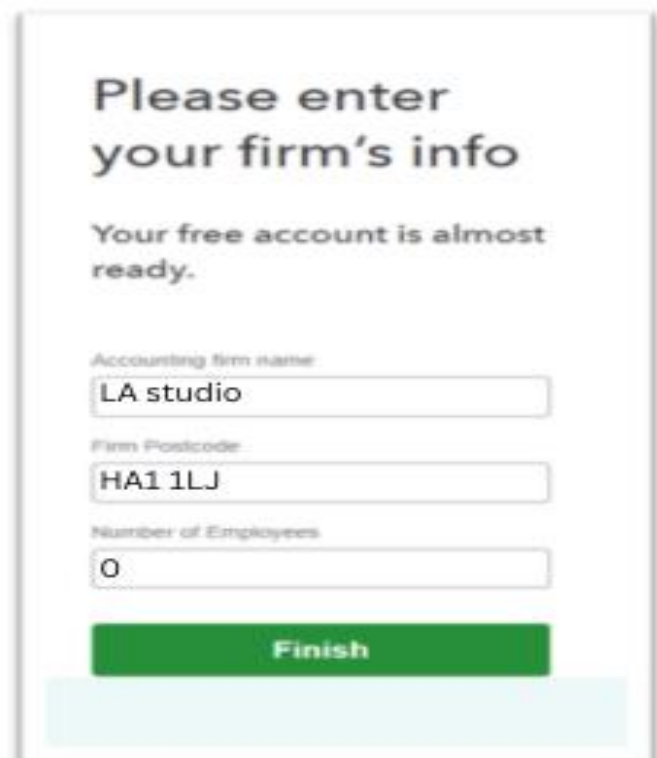
Your free account is almost ready.

Accounting firm name

Firm Postcode

Number of Employees

[Finish](#)



Please enter your firm's info

Your free account is almost ready.

Accounting firm name

Firm Postcode

Number of Employees

[Finish](#)

Here click on Let's get started and write your Business legal name as **LA Studio Ltd**, and then click on next.

INTUIT
Accountant Suite

Welcome to Intuit Accountant Suite
Built with and for accountants, bringing your expertise with the power of data and AI together on one platform

Let's get started

For starters, review your firm's contact info
Basic info to get your account set up.

Legal business name*

Primary email*

Primary phone*

Business website

BackNext

Here you need to write which services you provide in your firm. **Select Others and write Photography, makeup & hair Services**

What services does your firm provide?
This helps personalise your content. Select all that apply

 Accounting and Reporting

 Bookkeeping

 Tax preparation

 Tax advisory

 VAT filing

 Financial Advisory and Consulting

 AP processing

 AR processing

 Payroll processing

 Assurance Services (Audit)

 Wealth Management

 Other

Other

Photographic, Makeup & Hair |

Back

Next

Then it will ask **which industries your firm specialise in?**

Select **Others** & write **Photography**.

What industries does your firm specialise in?

This helps tailor features based on industries you serve. Select all that apply

 Restaurant

 Professional Services

 Healthcare

 Real Estate

 Manufacturing and Distribution

 Construction

 Non-profit

 Property Management

 Retail

 Technology

 Other

Other

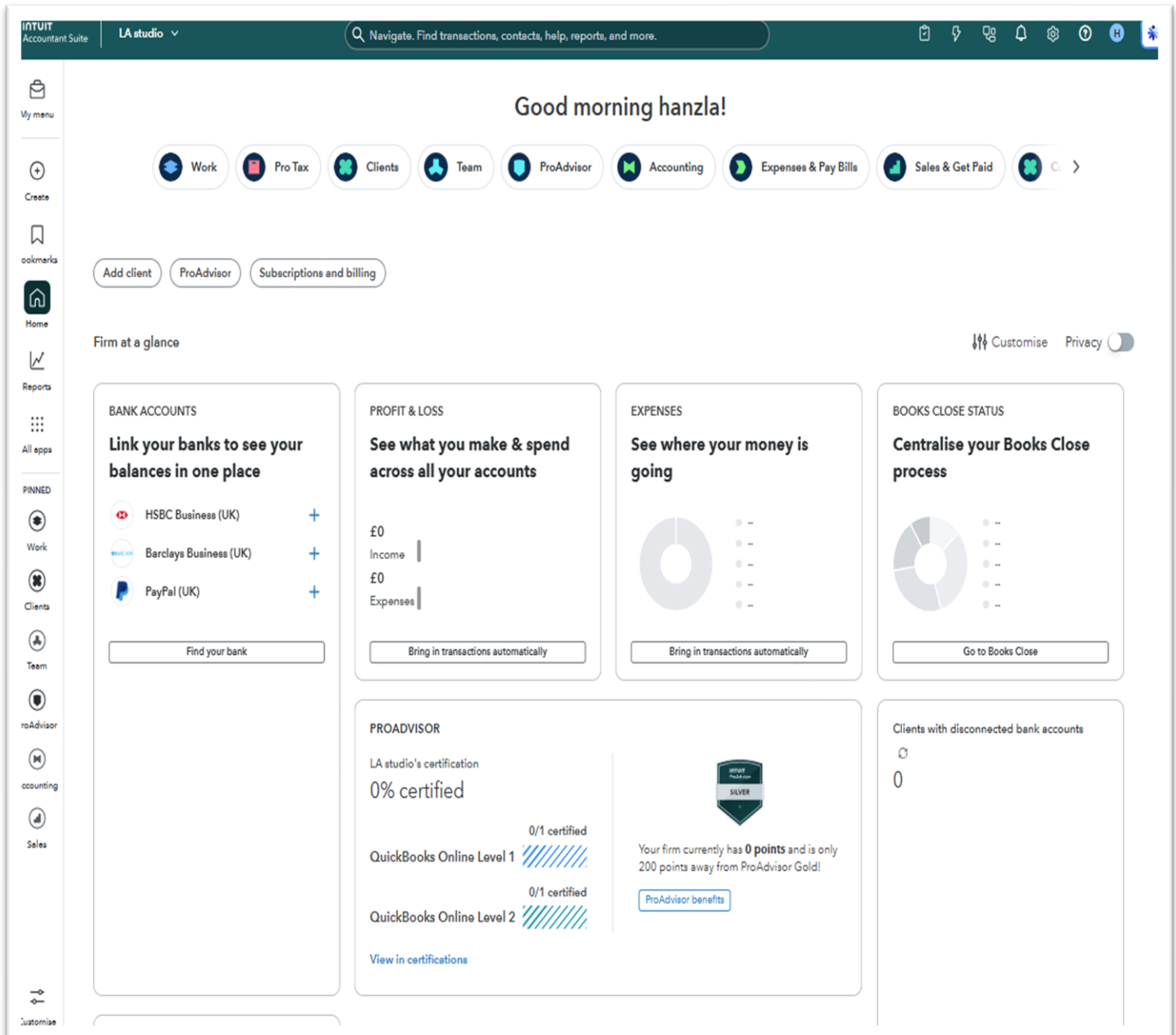
Photography

Back

Next

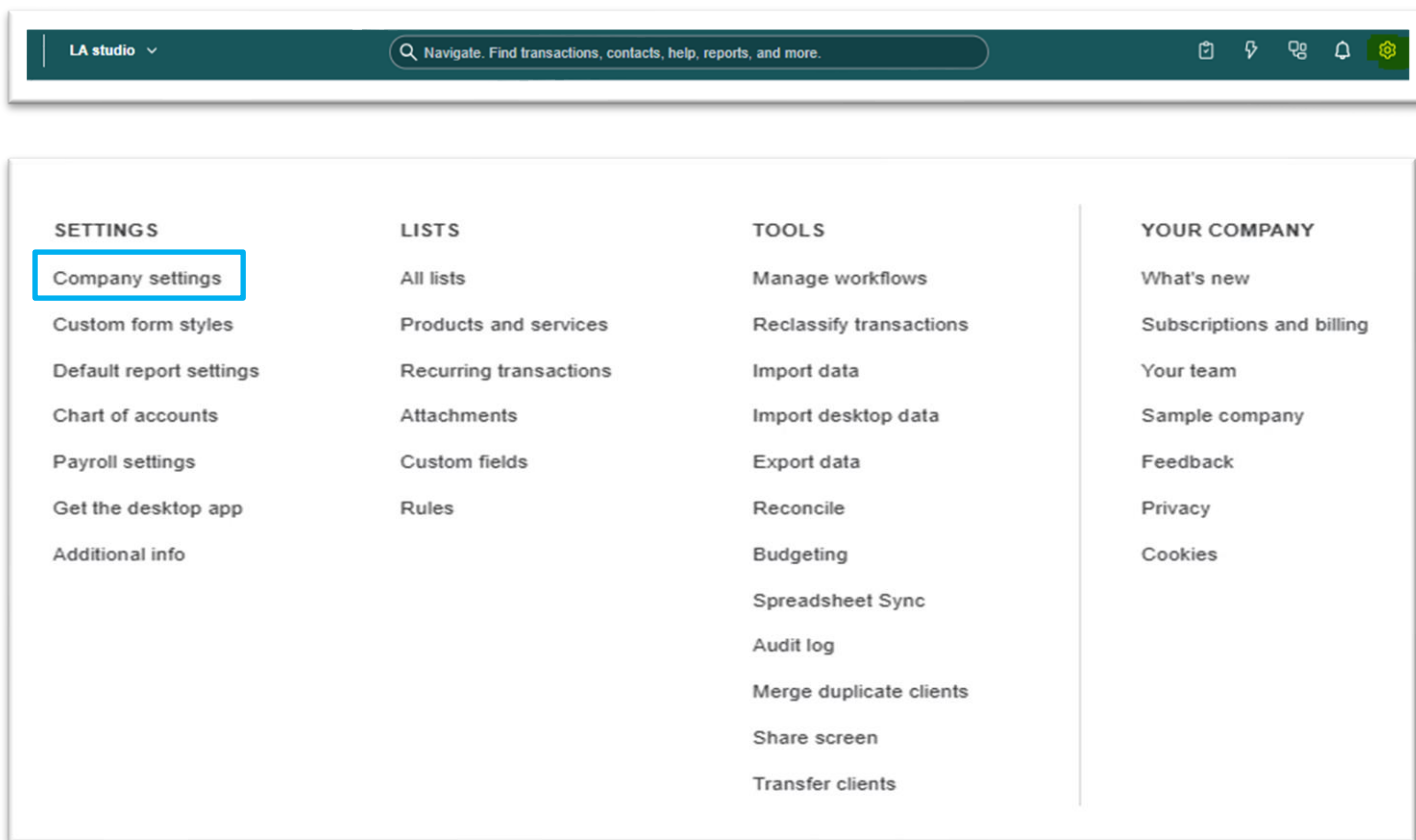
After finishing up, you will be into your QuickBooks Online account & you'll see the following **Homepage**.

Under the Greetings, **all the menus are given**. Also, you can open the menus from **"All Apps option"**.

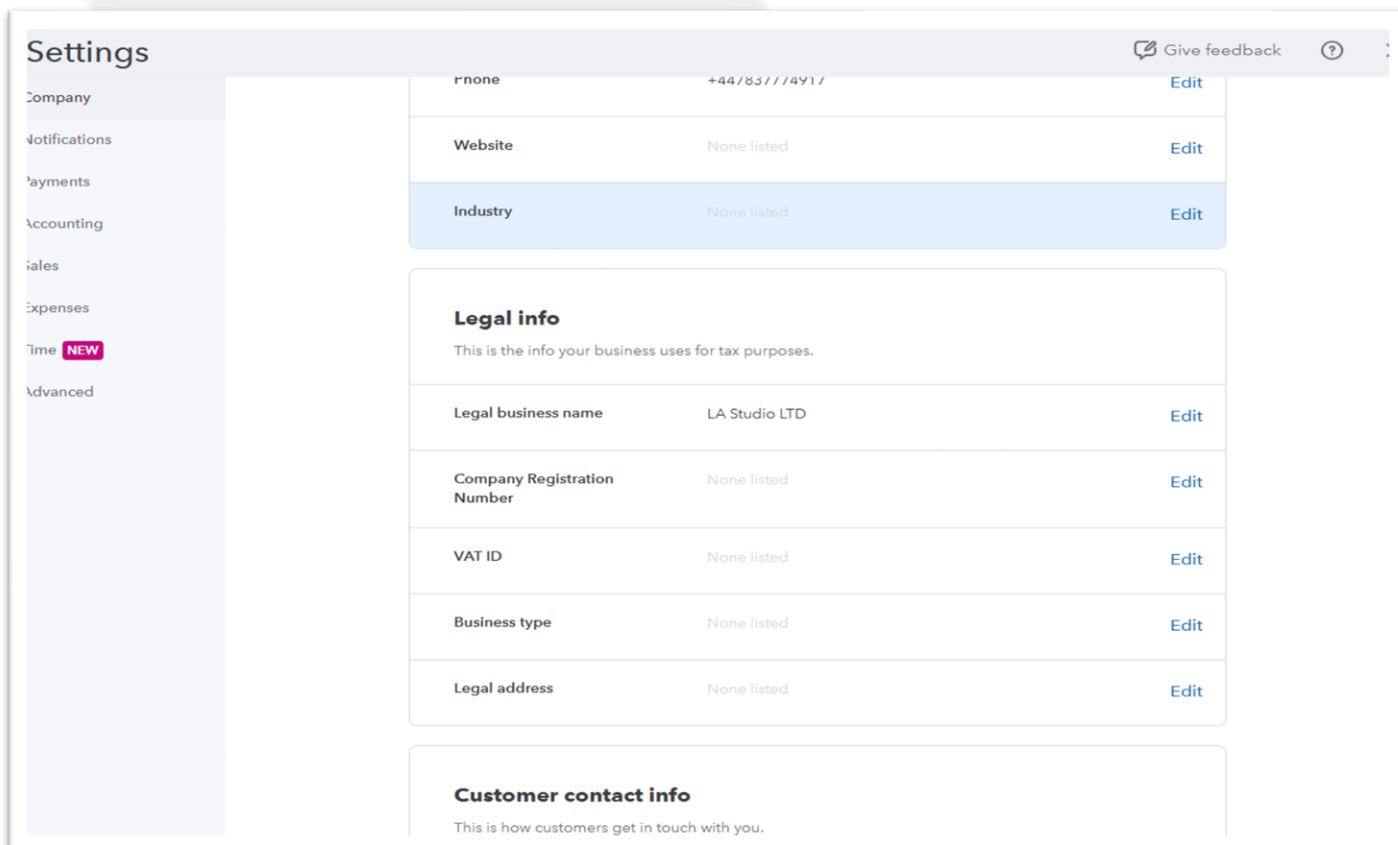


Company Settings

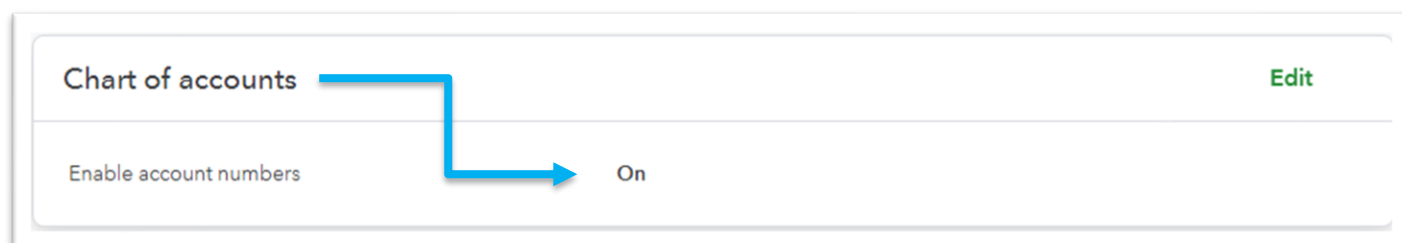
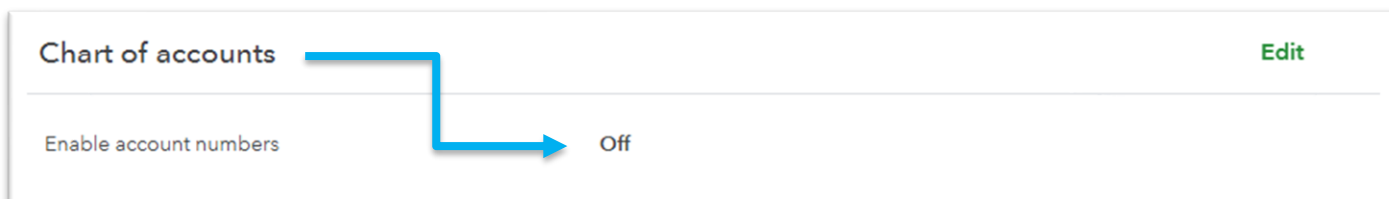
At the top right, there is a gear icon highlighted in yellow for settings. You will see different options; click on Company Settings.



Here, you can see all the company details.



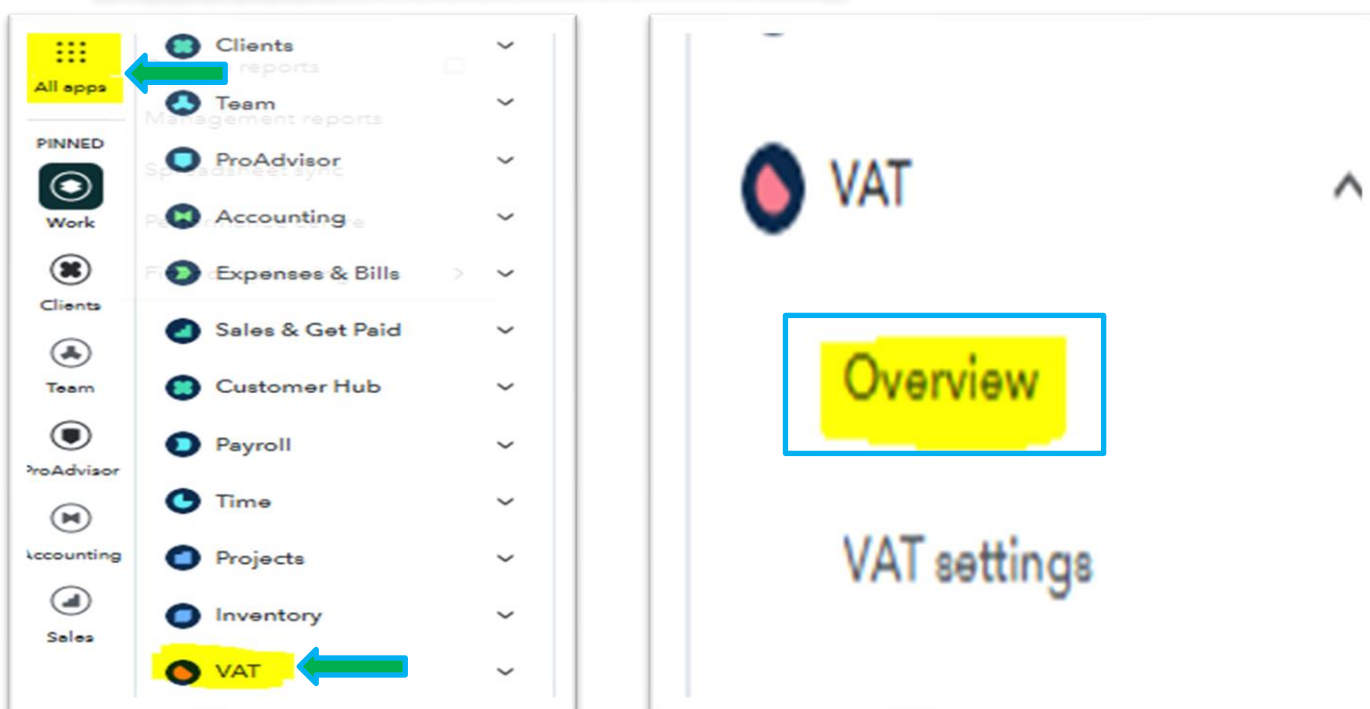
In the Settings, click on Advanced on the Left side, at the end of the menus. Here, scroll down and search for Chart of Accounts. In the Chart of Accounts, click on Edit & Enable Account numbers.



After that, close the current window by clicking on the cross at the top right side.

Now, from the "All Apps" options, you need to open VAT then Overview to make necessary VAT settings, Click on Setup VAT.

All Apps > VAT > Overview> Setup VAT, here put in all the required information.



VAT overview

Set up your VAT so you can comply with Making Tax Digital (MTD)

- 1 Enter your VAT details**
You'll need your 9-digit VAT registration number.
[\[How to register for VAT\]](#)
- 2 Confirm you need MTD for VAT in QuickBooks**
You can opt out if your business is exempt.
- 3 Authorise QuickBooks to interact with HMRC**
You'll need your Government Gateway user ID from HMRC.

[Set up VAT](#)Making Tax Digital
HMRC recognised

Set up VAT

Tell us about your VAT

Agency
HM Revenue & Customs (VAT)

When do you need to start calculating your VAT from?

January ▼

How often do you submit a VAT return to HMRC?

Select your filing frequency. ▼

Which VAT accounting scheme do you use?

☒ Standard
☐ Cash

What's your 9-digit VAT registration number?

Other VAT options

☐ Flat Rate Scheme (FRS)Need help? [Find out more about VAT schemes](#)[Next](#)**VAT Start Period:** Jan. 2025**VAT Period:** Quarterly**VAT Scheme:** Standard**VAT registration Number:** 123456789 (Dummy Number)

After putting all the information. Click on Next & Ok.

Tell us about your VAT

Agency
HM Revenue & Customs (VAT)

When do you need to start calculating your VAT from?
January

How often do you submit a VAT return to HMRC?
Quarterly

Which VAT accounting scheme do you use?
☒ Standard
☐ Cash

What's your 9-digit VAT registration number?
123456789

Other VAT options
☐ Flat Rate Scheme (FRS)

Need help? [Find out more about VAT schemes](#)

Next



Your VAT setup is complete.

Now you can add VAT to your transactions, track what you owe and record payments.
To submit your VAT, you need to set up Making Tax Digital.

OK

Then it will ask for Setup MTD, or I don't need MTD. Click on I don't need MTD. Then click on Done.

Chart of Accounts

A **Chart of Accounts (COA)** is a structured list of all the accounts a business uses to record its financial transactions. It acts as the backbone of the accounting system, helping to organize and categories financial data for reporting.

A Chart of Accounts groups all financial accounts into categories such as:

- Assets (e.g., Cash, Bank, Inventory)
- Liabilities (e.g., Loans, Payables)
- Equity (e.g., Capital, Retained Earnings)
- Income/Revenue (e.g., Sales, Service Income)
- Expenses (e.g., Rent, Salaries, Utilities)

Sub-Accounts (Subaccounts)

Sub-accounts are smaller, detailed accounts created under a main (parent) account in the Chart of Accounts. They are used to break down and track specific types of transactions within a broader category.

Basic Concept

A parent account shows the total amount, while sub-accounts provide detailed information about that total.

- **Parent Account:** General category
- **Sub-Accounts:** Detailed breakdown of that category

Account Number in Chart of Accounts

An Account Number (also called an account code) is a unique numerical identifier assigned to each account in the Chart of Accounts. It helps to organise, classify, and easily locate accounts within the accounting system. Instead of relying only on account names, businesses use account numbers to maintain a clear and systematic structure. These numbers also help generate financial reports efficiently and reduce errors.

Account Number Ranges:

Range	Category
100–199	Assets
200–299	Cost of Sales
300–399	Expenses
400–449	Liabilities
450–499	Income
500–599	Equity

Account Numbers for Parent and Sub-Accounts

In many accounting systems, a parent account can have multiple sub-accounts. Sub-accounts are created to give more detailed tracking within a main category.

The account number of a sub-account is usually derived from the parent account number, showing a clear relationship between them.

Example:

- **Parent Account:**
 - Advertising & Marketing → 307
- **Sub-Accounts:**
 - Facebook Advertising → 30701
 - Google Advertising → 30702

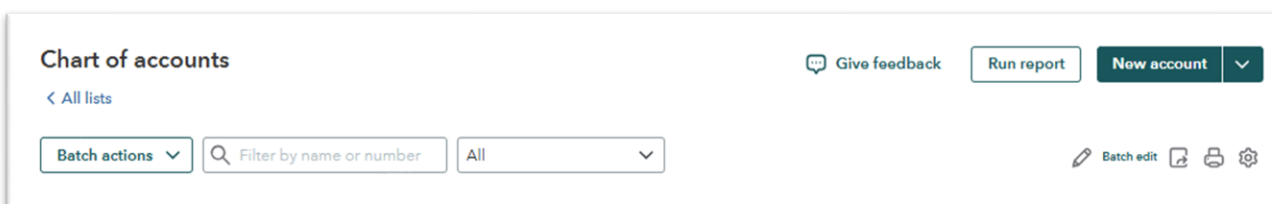
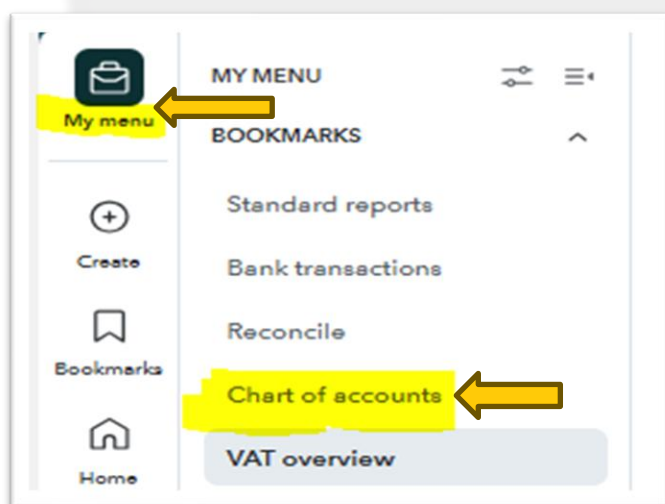
How to add a New Chart of Accounts:

To add a new account, click on the transactions tab from the left menu

- Go to My Menu > Chart of Accounts
- Click on New Account

Enter the required details:

- Account Name
- Account Code
- Account Type (Asset, Expense, etc.)
- Detail Type
- Click Save



Let's create an Accounts Payable (A/P) account. Put All these details & save.

New account

Account name*

Account number

Account type*

Detail type*

Select account type

Select detail type

New account

Account name*

Account number

Accounts payable

403

Account type*

Detail type*

Current liabilities

Current Liabilities

Now, check in the COAs list, you will find it.

Chart of accounts

Give feedback

Run report

New account

< All lists

Batch actions

Accounts payable

All

Batch edit

Print

Settings

< Previous

1 - 1

Next >

	NUMBER	NAME	ACCOUNT TYPE	VAT RATE	QUICKBOOKS BALANCE	BANK BALANCE	ACTION
☐	403	Accounts payable	Current liabilities	BAL	£0.00		Account history

Now, click on the arrow given after the New Account option & import the Chart of Accounts.

Chart of accounts

Give feedback

Run report

New account

< All lists

Batch actions

Filter by name or number

All

Batch edit

Print

Settings

Import chart of accounts

Click on Browse, select the Chart of Accounts Sheet from your system then click on next.

Note: The **Chart of Accounts** sheet can be found in the Documents Folder for this client. If it is not there, ask the trainer to provide you with that. & remember that the CSV format of Excel is recommended to import any sheet into the cloud-based accounting software, whether it's QBO, Xero, or any other software.

×

Import a chart of accounts



Drag and drop or select files
Use file type .csv, .xls, or .xlsx

[Download sample template ?](#)

Cancel

Next

×

Import a chart of accounts



File ready to upload



[Download sample template ?](#)

Cancel

Next

Now map columns & review All the Chart of Accounts to confirm these are good to go.

1 Map columns

2 Review

Map your spreadsheet to the corresponding chart of accounts columns.

Chart of accounts columns	Imported spreadsheet columns
Account number	Account Number
Account name	Account Name
Account type	Type
Detail type	Detail Type

✓ Map columns 2 Review

Account number	Account name	Account type	Detail type	Actions
☐ 100	Barclays Business	Cash at bank and in hand	Cash on hand	+ ⚙️ 🗑️
☐ 101	Petty Cash	Cash at bank and in hand	Cash on hand	+ ⚙️ 🗑️
☐ 152	Prepaid Expenses	Current assets	Other current assets	+ ⚙️ 🗑️
☐ 153	Accounts Receivable	Current assets	Other current assets	+ ⚙️ 🗑️
☐ 155	Cash withdrawn	Current assets	Other current assets	+ ⚙️ 🗑️
☐ 200	Cost of Goods Sold	Cost of sales	Supplies and materials	+ ⚙️ 🗑️
☐ 300	Printing, Postage & Stationery	Expenses	Office/General Administration	+ ⚙️ 🗑️
☐ 301	Sub-contractors	Expenses	Payroll Expenses	+ ⚙️ 🗑️
☐ 302	Office Supplies	Expenses	Office/General Administration	+ ⚙️ 🗑️
☐ 303	Rent	Expenses	Office/General Administration	+ ⚙️ 🗑️
☐ 304	Professional Fee	Expenses	Legal and professional fees	+ ⚙️ 🗑️
☐ 305	Bank Fee & Charges	Expenses	Bank charges	+ ⚙️ 🗑️
☐ 306	Courier & Delivery Charges	Expenses	Office/General Administration	+ ⚙️ 🗑️
☐ 307	Advertising & Marketing	Expenses	Advertising/Promotional	+ ⚙️ 🗑️
☐ 308	Wages & Salaries	Expenses	Payroll Expenses	+ ⚙️ 🗑️
☐ 309	Motor Vehicle Expense	Expenses	Auto	+ ⚙️ 🗑️
☐ 310	Utilities & Rates	Expenses	Utilities	+ ⚙️ 🗑️

Back Finish

Here you can review all the information. & After the Chart of Account, 4 options are given.

Account number	Account name	Account type	Detail type	Actions
☐ 100	Barclays Business	Cash at bank and in hand	Cash on hand	+ ⚙️ 🗑️

1) Add a new row to create a new COA

Account number	Account name	Account type	Detail type	Actions
☐ 100	Barclays Business	Cash at bank and in hand	Cash on hand	+ ⚙️ 🗑️
☐				+ ⚙️ 🗑️

2) Create a Subaccount of a Parent Account

☐ 307	Advertising & Marketing	Expenses	Advertising/Promotional	+ ⚙️
☐ 30702	↳ Google	Expenses	Advertising/Promotional	+ ⚙️
☐ 30701	↳ FaceBook	Expenses	Advertising/Promotional	+ ⚙️

Now, you need to make Facebook & Google the subaccount of Advertising & Marketing (parent Account), and Telephone Charges, Electricity & Internet Bills the subaccount of Utilities.

3) Create a Duplicate entry (If you want to create same kind of COA, you can make duplicate & then edit accordingly).

☐	306	Courier & Delivery Cha	Expenses	Office/General Ad...	+	⌵	📄	🗑️
☐	306	Courier & Delivery Cha	Expenses	Office/General Ad...	+	⌵	📄	🗑️

Now, we can edit from Courier & Delivery Charges (Expense) to Delivery Charges (COGS), *but remember you need to use Account code, type & detail type with respect to the Account name.*

☐	306	Courier & Delivery Cha	Expenses	Office/General Ad...	+	⌵	📄	🗑️
☐	201	Delivery Charges	Cost of sales	Shipping, Freight a...	+	⌵	📄	🗑️

4) Delete

Click on this option to delete the previously added extra row, not required.

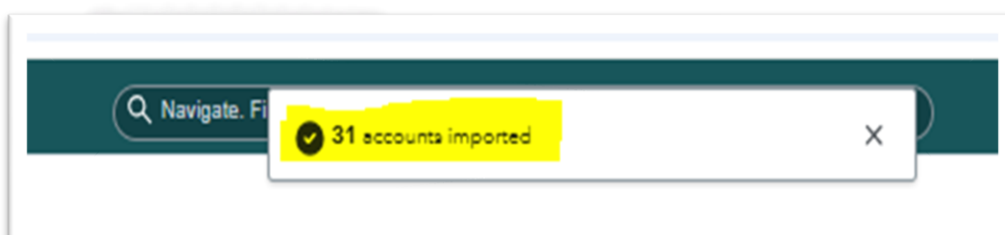
☐	Account number ⌵	Account name ⌵	Account type ⌵	Detail type ⌵	Actions			
☐	100	Barclays Business	Cash at bank and in ha	Cash on hand	+	⌵	📄	🗑️
☐					+	⌵	📄	🗑️

Then, these will look like the snapshot given below. After verifying & completing, you can import it by clicking on the Finish option given at the bottom right.

Account number	Account name	Account type	Detail type	Actions
100	Barclays Business	Cash at bank and in hand	Cash on hand	+ Te Q
101	Petty Cash	Cash at bank and in hand	Cash on hand	+ Te Q
152	Prepaid Expenses	Current assets	Other current assets	+ Te Q
153	Accounts Receivable	Current assets	Other current assets	+ Te Q
155	Cash withdrawn	Current assets	Other current assets	+ Te Q
200	Cost of Goods Sold	Cost of sales	Cost of Sales	+ Te Q
300	Printing, Postage & Stat	Expenses	Office/General Administrat...	+ Te Q
301	Sub-contractors	Expenses	Payroll Expenses	+ Te Q
302	Office Supplies	Expenses	Office/General Administrat...	+ Te Q
303	Rent	Expenses	Office/General Administrat...	+ Te Q
304	Professional Fee	Expenses	Legal and professional fees	+ Te Q
305	Bank Fee & Charges	Expenses	Bank charges	+ Te Q
306	Courier & Delivery Cha	Expenses	Office/General Administrat...	+ Te Q
201	Delivery Charges	Cost of sales	Shipping, Freight and Deliv...	+ Te Q
307	Advertising & Marketin	Expenses	Advertising/Promotional	+ Te Q
30701	Facebook	Expenses	Advertising/Promotional	+ Te Q
30702	Google	Expenses	Advertising/Promotional	+ Te Q
308	Wages & Salaries	Expenses	Payroll Expenses	+ Te Q
309	Motor Vehicle Expense	Expenses	Auto	+ Te Q
310	Utilities & Rates	Expenses	Utilities	+ Te Q
31001	Telephone Charges	Expenses	Utilities	+ Te Q
31002	Electricity Bills	Expenses	Utilities	+ Te Q
31003	Internet Bills	Expenses	Utilities	+ Te Q

Back Finish

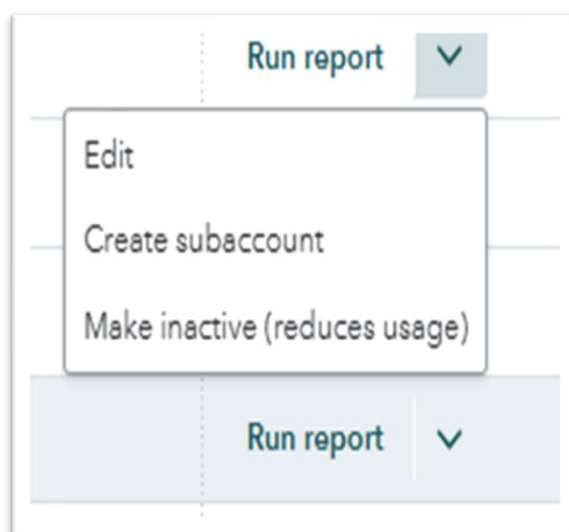
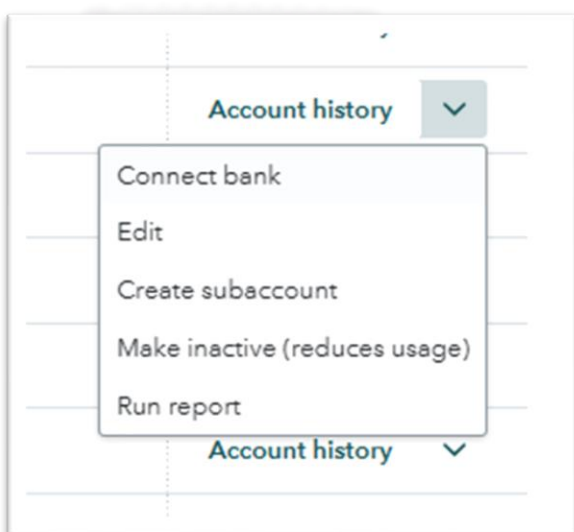
You can see 31 accounts successfully imported. After refreshing, you will see the imported Chart of Accounts.



- Your Chart of Accounts will appear like this in your QuickBooks. For Balance Sheet items "BAL" is mentioned & for Profit & loss items "P&L" is given.
- Subaccounts appear indented under their parent account. Like Facebook & Google is appearing under Advertising & Marketing.

☐	NUMBER ↑	NAME ↕	ACCOUNT TYPE ⓘ ↕	VAT RATE ↕	QUICKBOOKS BALANCE ↕	BANK BALANCE ↕	ACTION
☐	100	Barclays Business	Cash at bank and in hand BAL		£0.00		Account history ▾
☐	101	Petty Cash	Cash at bank and in hand BAL		£0.00		Account history ▾
☐	152	Prepaid Expenses	Current assets BAL		£0.00		Account history ▾
☐	153	Accounts Receivable	Current assets BAL		£0.00		Account history ▾
☐	155	Cash withdrawn	Current assets BAL		£0.00		Account history ▾
☐	200	Cost of Goods Sold	Cost of sales P&L				Run report ▾
☐	201	Delivery Charges	Cost of sales P&L				Run report ▾
☐	300	Printing, Postage & Stationary	Expenses P&L				Run report ▾
☐	301	Sub-contractors	Expenses P&L				Run report ▾
☐	302	Office Supplies	Expenses P&L				Run report ▾
☐	303	Rent	Expenses P&L				Run report ▾
☐	304	Professional Fee	Expenses P&L				Run report ▾
☐	305	Bank Fee & Charges	Expenses P&L				Run report ▾
☐	306	Courier & Delivery Charges	Expenses P&L				Run report ▾
☐	307	Advertising & Marketing	Expenses P&L				Run report ▾
☐	30701	Facebook	Expenses P&L				Run report ▾
☐	30702	Google	Expenses P&L				Run report ▾

You can edit Chart of Accounts by Clicking on the arrow given after the Run report/Account history option. If you want to make any active due to reduce usage, and remove it from the list.



Purchase Ledger

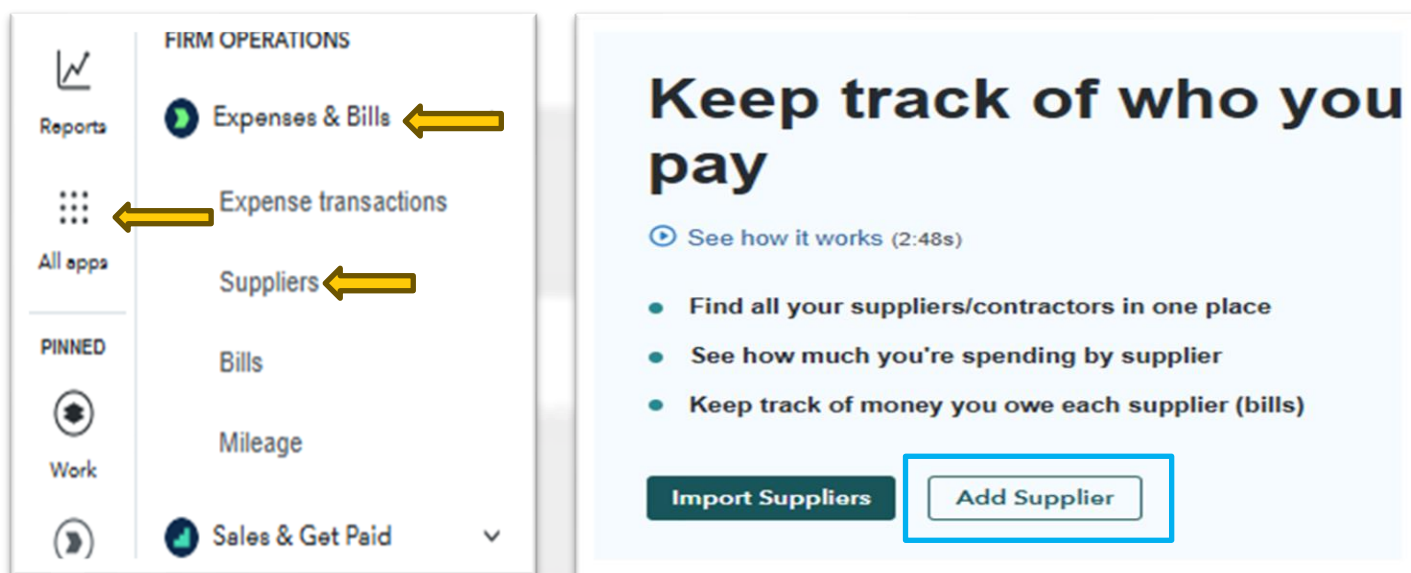
As LA Studio provides professional photographic and makeup & hair services, the main Suppliers are:

- L'Oréal
- Aston & Fincher
- Wex
- Calumet

HOW TO RECORD SUPPLIERS:

To create a supplier record, from the **"All Apps"** options, you need to open **"Expenses & Bills"** then **'Suppliers'** then select the **'Add supplier'**

All Apps > **Expenses & Bills** > **Suppliers**> Add supplier, here put in all the required information



Write the Company name, address and payment terms, then click save.

In the **Company name:** please enter **Aston & Fincher** to create the first Supplier Account. When you write this in the Company name field, it will automatically appear in the Supplier display name. Then scroll down and **select Terms, Net 30.**

You can also put the address, but it is optional. If you want to skip it, you can.

The image shows a form titled 'Name and contact' with a close button in the top right. The form has five input fields for 'Title', 'First name', 'Middle name', 'Last name', and 'Suffix'. Below these are two larger input fields: 'Company name' (containing 'Aston & Fincher') and 'Supplier display name *' (also containing 'Aston & Fincher' with a dropdown arrow on the right).

Address

Street address

Unit 14, 1000 North Circular road,
Staple corner

City

London

County

Middlesex

Postcode

NW2 7JP

Country

United Kingdom

Additional info

Expense rates

Billing rate (/hr)

Payments

Terms

Net 30

Account no.

< Suppliers

Filter by name or details

Q Search

Sort by name ▲

Aston & Fincher

£0.00

Aston & Fincher

Company

Aston & Fincher

Billing address

Unit 14, 1000 North Circular road, Staple corner, London, Middlesex NW2 7JP, United Kingdom

Bill Pay ACH info

-

Notes

Add notes

SUMMARY

£0.00

Open balance

£0.00

Overdue payment

Now, either click on the plus (+) sign/or go back & click on the New Supplier option to create a New Supplier. Now, click on Suppliers, and then you will be able to see the list of all the suppliers.

Suppliers

Give feedback

New supplier ▼

Unbilled Last 365 Days

Unpaid Last 365 Days

Paid

£0.00
0 PURCHASE ORDER

£0.00
0 OVERDUE

£0.00
0 OPEN BILLS

£0.00
0 PAID LAST 30 DAYS

Search

Q

SUPPLIER ↑

COMPANY NAME ↓

PHONE

EMAIL

OPEN BALANCE ↓

ACTION

Aston & Fincher

Aston & Fincher

£0.00

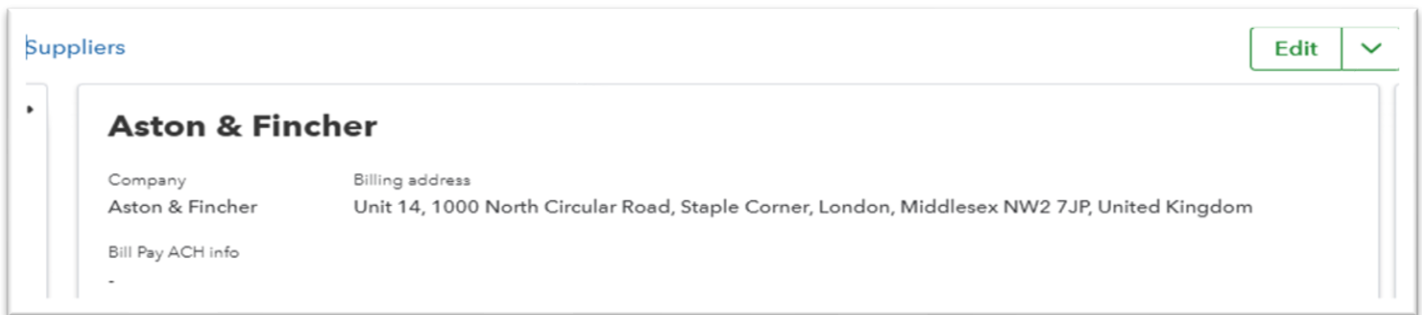
Create bill | ▼

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HOW TO EDIT SUPPLIER RECORD:

Open the supplier you want to edit, click Edit make the necessary changes and click Save

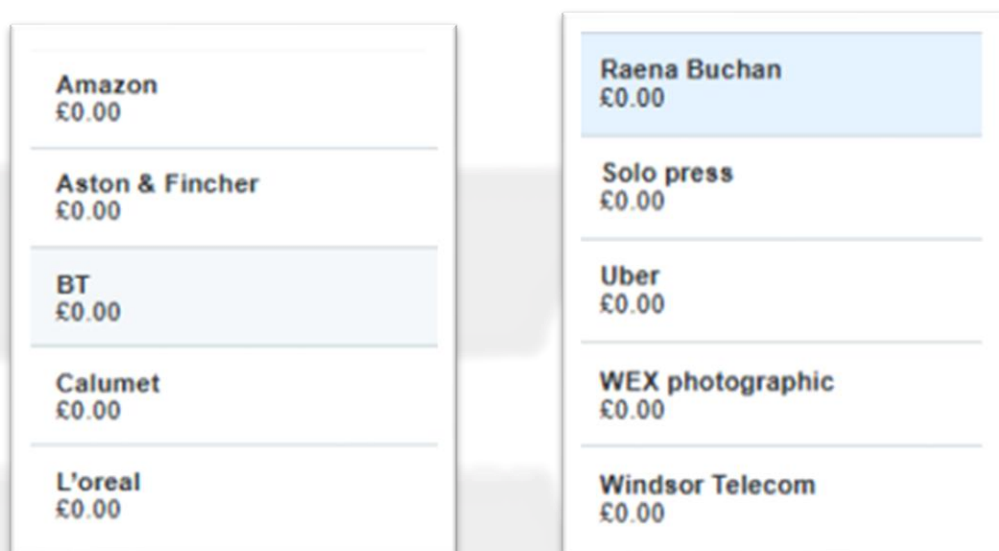


Suppliers Edit ▼

Aston & Fincher

Company: Aston & Fincher
Billing address: Unit 14, 1000 North Circular Road, Staple Corner, London, Middlesex NW2 7JP, United Kingdom
Bill Pay ACH info: -

Now, in the same way, we will create all the suppliers, then we will record the invoices after that.



Amazon
£0.00

Aston & Fincher
£0.00

BT
£0.00

Calumet
£0.00

L'oreal
£0.00

Raena Buchan
£0.00

Solo press
£0.00

Uber
£0.00

WEX photographic
£0.00

Windsor Telecom
£0.00

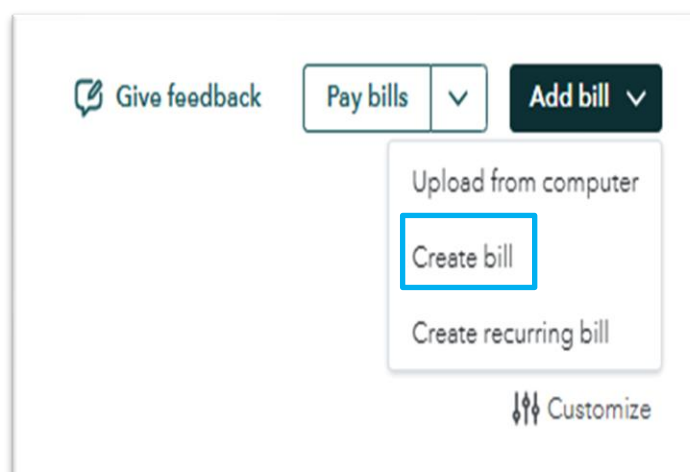
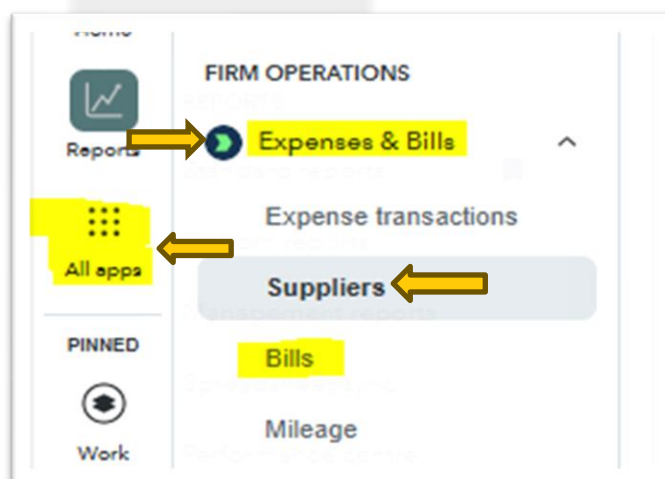
LIST OF THE SUPPLIERS:

Name of the suppliers	Explanation	Account name	VAT rate
Aston & Fincher	Hair products are required to provide makeup services. Therefore, represents Purchases for the business	Cost of Goods Sold	20.0% S
Solo Press	Business cards – Office stationery expense	Printing, postage, and stationery	20.0% S
BT	Telephone charges – Expense	Telephone Charges	20.0% S
Calumet	Photographic products are required to provide photographic services. Therefore, represents Purchases for the business.	Cost of Goods Sold	20.0% S

L'oreal	Hair products are required to provide makeup services. Therefore, represents Purchases for the business	Cost of Goods Sold	20.0% S
WEX photographic	Makeup product required to provide makeup services. Therefore, represents purchases for the business. Deliver Charges should be recorded separately. It represents an expense for the business	Cost of Goods Sold & Courier and delivery charges	20.0% S
Uber	Travelling expenses	Motor Vehicle expenses	0.0% Z
Windsor Telecom	Telephone expenses	Telephone Charges	20.0% S
Amazon	Office Expense – Toner for printer	Printing, postage, and stationery	20.0% S
Raena Buchan	Raena Buchan provides management and coordination services. Being self-employed, she invoices LA Studio for services provided. She represents a subcontractor for the business.	Sub-contractor	0.0% Z

HOW TO POST SUPPLIER INVOICES:

Select the “**Expenses & Bills**” and click on “**Bills**”, then on **Add Bill** (top right side), then “**Create Bill**”.



Here is the prompt for creating a Bill.

Bill

Supplier: Choose a supplier

Mailing address: [Text Area]

Terms: [Dropdown]

Bill date: 14/04/2026

Due date: 14/04/2026

Bill no.: [Text Field]

BALANCE DUE: £0.00

Amounts are: Exclusive of Tax

#	CATEGORY	DESCRIPTION	AMOUNT	VAT
1				
2				

Add lines Clear all lines

Subtotal: £0.00

Total: £0.00

Memo: [Text Area]

Attachments: Add attachment (Max file size: 20 MB), Show existing

Privacy

PLEASE NOTE THAT IN QUICKBOOKS, PURCHASE INVOICES ARE CALLED BILLS:

Supplier: Select the supplier.

Terms: It comes up automatically

Bill Date: From the invoice

Due Date: It comes up automatically

Bill No.: Invoice No

Category: Nominal code depending on the nature of the product

Description: Detail from the invoice

Amount: Exclusive of Tax,

VAT: 20.0% (S)

Select Aston & Fincher in Supplier. When you select the supplier, all the relevant information that you recorded while creating the account will appear automatically in the given prompt. Here, mailing address & Terms.

Bill

Supplier:

Mailing address:

Terms:

Bill date:

Due date:

Bill no.:

Now fill in the remaining information & save the Bill.

After recording everything, click Save and Close.

Bill no.342487

Supplier:

Mailing address:

Terms:

Bill date:

Due date:

Bill no.:

BALANCE DUE £371.28

#	CATEGORY	DESCRIPTION	AMOUNT	VAT	CUSTOMER
1	200 Cost of Goods Sold	Hair Products Shampoo, Spray etc.	£309.40	20.0% S (20%)	
2					

Subtotal: £309.40
VAT @ 20% on £309.40: £61.88
Total: £371.28

Attachments: [Add attachment](#) (Max file size: 20 MB)

The recorded Bill will not appear under the Bill heading, for checking it **open the suppliers, click & open the respective supplier account for which you recorded the bill.**

Aston & Fincher

Company: Aston & Fincher
Billing address: Unit 14, 1000 North Circular road, Staple corner, London, Middlesex NW2 7JP, United Kingdom
Notes: [Add notes](#)

Bill Pay ACH info: -

SUMMARY
£371.28 Open balance
£371.28 Overdue payment

Transaction List | Supplier Details | Notes

All transactions | Filter | Dates: Last 12 months

	DATE	TYPE	NO.	PAYEE	CATEGORY	TOTAL BEFORE SALES TAX	SALES TAX	TOTAL	BILL APPROVAL	ACTION
☐	06/02/2025	Bill	342487	Aston & Fincher	200 C	£309.40	£61.88	£371.28		Mark as paid
Total						£309.40	£61.88	£371.28		

First Previous 1 - 1 of 1 Next Last

In the same way, you will be recording all the purchase invoices in QuickBooks. You may have queries about the Invoice number 6, Wax Photographic invoice. So, I am also recording that here.

**wex**
photographic

Customer Receipt

Order Created: 31/03/2025

Payment Received: 31/03/2025

Billing Address:

LA Studio
112 High Street,
Sutton, SM11ED

Head office: 13 Frensham Road, Norwich, NR3 2BT
Sales: 01603 486413
Showroom: 01603 481933
Returns address: Unit B Frenbury Estate, Norwich NR6 5DP
Contact us: www.wexphotographic.com/emailus
Web: www.wexphotographic.com

Purchase Order Number:

Order No: 51556848 Delivery No:

Delivery address:

LA Studio
112 High Street,
Sutton, SM11ED

Stock Code	GOODS	Qty	Price	Total
1532671	Bowens Beauty Dish - White	1	£119.00	£119.00
			Sub total:	£119.00
			Delivery:	£7.95
			Discount:	(-) £0.00
			Total:	£126.95

VAT analysis

Net amount	Rate	VAT amount
£105.80	20.00%	£21.15

Payment Type

Online Card Payment -£126.95

There are two methods to record this invoice, both of which are given below.

1) After selecting the Supplier account & writing the Date & invoice number, select amounts that are Tax inclusive & then in the Description record the "Bowens Beauty Dish – white" in the first row, amount 119, VAT 20%

In the second row, write the Delivery Charges 7.95, your total Gross must be 126.95. Then save it.

Bill no.51556848

Copy Give feedback

Supplier

WEX photographic

BALANCE DUE

£126.95

Mailing address

WEX photographic

Terms

Net 30

Bill date

31/03/2025

Due date

30/04/2025

Bill no.

51556848

Amounts are

Inclusive of Tax

#	CATEGORY	DESCRIPTION	AMOUNT	VAT	CUSTOMER
1	200 Cost of Goods Sold	Bowens Beauty Dish	£119.00	20.0% S	
2	201 Delivery Charges	Delivery Charges	£7.95	20.0% S	
3					

Add lines

Clear all lines

Memo

Attachments

Add attachment

Max file size: 20 MB

Show existing

Subtotal

£126.95

Includes VAT @ 20% on £105.80

£21.15

Total

£126.95

2) The second method is to record the collective amount by using the VAT summary amounts.

After selecting the Supplier account & writing the Date & invoice number, select amounts are Tax exclusive & then in the Description Record the "Bowens Beauty Dish – white" in the first row, amount 105.80, VAT 20% S, your total Gross must be 126.95. Then save it.

#	CATEGORY	DESCRIPTION	AMOUNT	VAT	CUSTOMER
1	200 Cost of Goods Sold	Bowens Beauty Dish - White	£105.80	20.0% S	
2					

Amounts are: Exclusive of Tax

Subtotal: £105.80

VAT @ 20% on £105.80: £21.16

Total: £126.96

Here, the Gross amount is appearing as 126.96 instead of 126.95, so we will manually edit the VAT amount from 21.16 to 21.15.

#	CATEGORY	DESCRIPTION	AMOUNT	VAT	CUSTOMER
1	200 Cost of Goods Sold	Bowens Beauty Dish - White	£105.80	20.0% S	
2					

Amounts are: Exclusive of Tax

Subtotal: £105.80

VAT @ 20% on £105.80: £21.15

Total: £126.95

THE DIFFERENCE BETWEEN TAX EXCLUSIVE AND TAX INCLUSIVE OPTIONS:

Tax exclusive means that you need to enter the NET amount in the Unit price section.

QuickBooks will calculate the amount of VAT by multiplying the net amount at 20% shown in the example above.

Tax inclusive means that instead of the net amount, you need to type the GROSS amount in the unit price, in this case, QuickBooks will extract the amount of VAT by taking the gross amount multiplied by 20/120.

HOW TO POST SUPPLIER CREDITS:

We don't have any credit notes for this client. But we learn from where to record, the recording method is the same as the Purchase invoices, only the option is different.

Click on "Suppliers", then open the supplier for which you want to record a Credit Note, then click on **"New transaction"** & select Supplier Credit.

Suppose we want to record a credit note for Aston & Fincher.

Aston & Fincher

Company: Aston & Fincher
Billing address: Unit 14, 1000 North Circular road, Staple corner, London, Middlesex NW2 7JP, United Kingdom
Bill Pay ACH info: -

Notes: [Add notes](#)

Transaction List | **Supplier Details** | Notes

All transactions | Filter | Dates: Last 12 months

New transaction dropdown menu:

- Time Activity
- Bill
- Expense
- Cheque
- Purchase Order
- Supplier Credit**
- Pay down credit card
- Import Bills
- Item Receipt

Here is the prompt for a credit note. Put in all the information & save.

Supplier Credit

Supplier: Aston & Fincher

Mailing address: Aston & Fincher
Unit 14, 1000 North Circular road,
Staple corner
London
Middlesex

Payment date: 31/03/2025

Ref no.:

CREDIT AMOUNT: **£0.00**

Amounts are: Exclusive of Tax

#	CATEGORY	DESCRIPTION	AMOUNT	VAT	CUSTOMER
1					
2					

Add lines | Clear all lines

Subtotal: £0.00
Total: £0.00

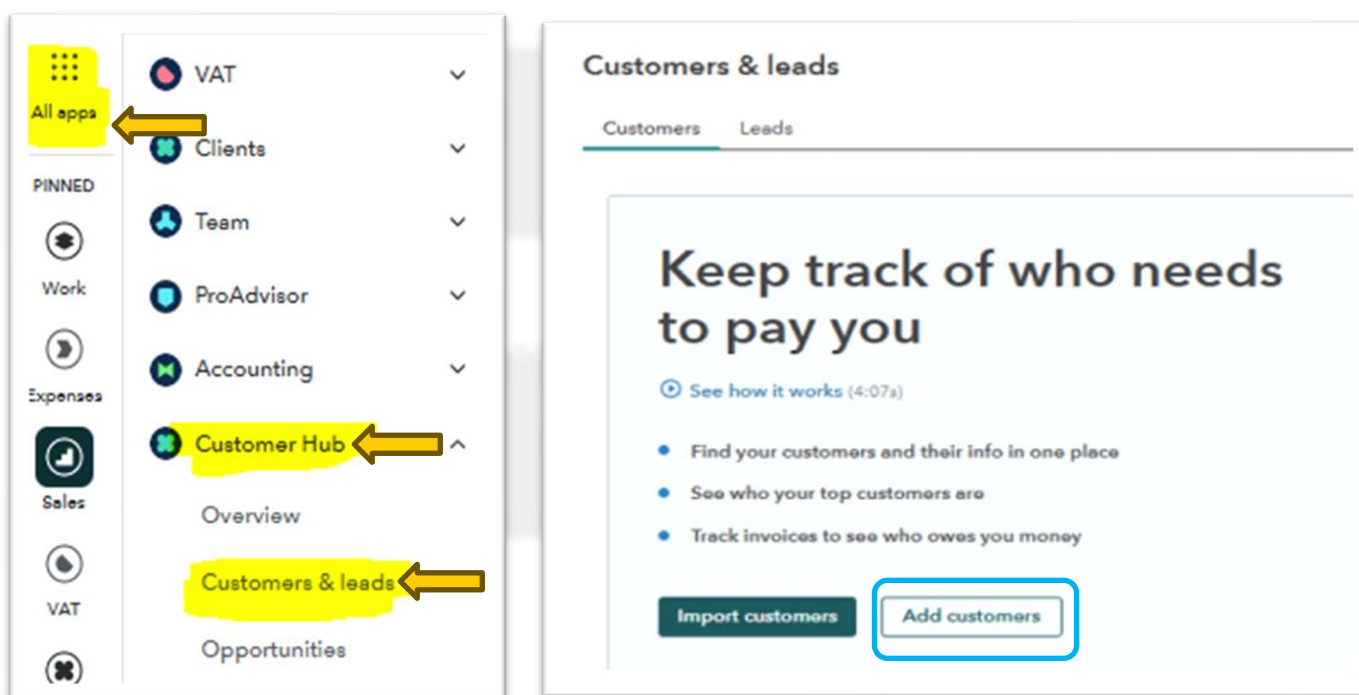
Sales Ledger

LA Studio provides services to the public, and the payment is received once the service is provided. Therefore, it is enough to create one Customer record – Sales. All sales invoices should be posted under the Sales account name.

Basically, all the customers are one-off contract customer that is why we will create only one customer account, that is Sales, because they are non-recurring customers. Only for the continuous contract (recurring customers), we create an individual account for each customer.

HOW TO RECORD CUSTOMER LIST:

To create a **customer record**, click on **"All APP"** and select **'Customer Hub'** then click **"Customers & Leads"**, and click on **Add customer**.



Write the Company **name (Sales)**, and **payment terms (Net 30)** than click **save**.

The image shows two side-by-side screenshots of forms. The left screenshot is the 'Customer' form, which has a header 'Customer' and a sub-header 'Name and contact'. It contains fields for 'Title', 'First name', 'Middle name', 'Last name', 'Suffix', 'Company name', and 'Customer display name *'. The 'Company name' field is filled with 'Sales'. The right screenshot is the 'Payments' form, which has a header 'Payments'. It contains fields for 'Primary payment method' (with a dropdown menu showing 'Select a primary payment method'), 'Terms' (with a dropdown menu showing 'Net 30'), 'Sales form delivery options' (with a dropdown menu), and 'Language to use when you send invoices' (with a dropdown menu showing 'English').

Once you click on **save**, the customer will appear on screen

The screenshot shows the 'Customers' page in QuickBooks. On the left, there's a search bar and a list of 'Recently viewed customers' with 'Sales' (£0.00) listed. The main area displays the 'Sales' customer profile with a circular icon containing the letter 'S'. To the right of the icon are links for 'Email', 'Billing address', 'Notes', 'Phone', 'Shipping address', and 'Custom Fields'. On the far right, a 'Financial summary' box shows 'Open balance' and 'Overdue payment' both at £0.00. At the top right, there are buttons for 'Give feedback', 'Edit', and 'New transaction'.

HOW TO EDIT CUSTOMER RECORD:

From the list click on the contact you want to edit. Click **Edit** make the necessary changes and click **Save**.

This screenshot is identical to the previous one, but the 'Edit' button in the top right corner is highlighted in yellow, indicating the next step in the process.

HOW TO POST SALES INVOICES:

PLEASE NOTE THAT IN QUICKBOOKS, SALES INVOICES ARE CALLED INVOICES:

Click on **"All APP"** and select **"Sales & Get Paid"** then click **"Invoices"**, and click **Create Invoice**.

The image shows two parts of the QuickBooks interface. On the left is the 'All apps' menu with 'FIRM OPERATIONS' at the top. Under 'PINNED', 'Sales & Get Paid' is highlighted. Below it, 'Invoices' is also highlighted. On the right is the 'Create invoice' screen with the heading 'Do work. Get paid. It's that easy.' It features three icons: a document for 'Fast, simple invoicing', a magnifying glass for 'Track your open invoices', and a mobile phone for 'Invoice on your mobile'. A large green 'Create invoice' button is at the bottom.

Below is the Sales Invoice prompt.

Invoice 1001

Edit | Email view | PDF view

Manage | Take tour | Feedback

Edit company

Add Customer

Invoice no. 1001

Terms Net 30

Invoice date 16/05/2026

Due date 15/06/2026

Invoice amounts are (hidden)

Exclusive of Tax

Product or service

#	Service Date	Product/service	Description	Qty	Rate	Amount	VAT
1							

Add product or service | Clear all lines

NEW Customer payment options Learn More

Subtotal €0.00

Invoice total €0.00

Activate bank transfer payments for your customers. Activate payments

Tell your customer how you want to get paid. To keep instructions same for all future invoices, you can specify your payment preferences by clicking on "Edit default".

Note to customer

Thank you for your business.

Print or download | Make recurring

Save | Review and send

Customer: Select the Customer

Terms: NET 30 (It comes up automatically)

Invoice Date: From the invoice

Due Date: It comes up automatically,

Invoice No.: Invoice No

Product/Services: Services

Description: Detail from the invoice (*Services Income*)

Amount: Inclusive of Tax

VAT: 20.0% (S)

Service Date: Month-end Date

Please note that LA Studio is a VAT-registered business; even though there is no VAT breakdown, invoices should be posted as VAT inclusive.

When creating invoices in QuickBooks, make sure that the amount is inclusive of Tax. Enter the total amount in the Rate field, and QuickBooks will automatically calculate the amount of VAT for you.

Invoice 1001

Edit Email view PDF view

Manage Take tour Feedback

Enter Customer email

Co/Bcc

Bill to Sales

Invoice no. 1001

Terms Net 30

Invoice date 05/03/2025

Due date 04/04/2025

Edit Customer

Invoice amounts are (hidden)

Inclusive of Tax

Product or service

#	Service Date	Product/service	Description	Qty	Rate	Amount	VAT
1	31/03/2025	Services	Services Income	1	300.00	£300.00	20.0% S (20%)
2							

Add product or service Clear all lines

NEW Customer payment options Learn More

VISA BANK

Activate bank transfer payments for your customers. Activate payments

Tell your customer how you want to get paid. To keep instructions same for all future invoices, you can specify your payment preferences by clicking on "Edit default".

Note to customer

Thank you for your business.

Print or download Make recurring

Save Review and send

After recording everything, click Save and Close.

If you want to check the recorded invoice, you need to open the respective customer account. **Open the Customer Hub and Open the customer to see the recorded invoice.**

Customers & leads

Customers Leads

New customer

£0 0 estimates

£0 Unbilled income

£0 0 overdue invoices

£0 0 open invoices and credits

£0 0 recently paid

Search

NAME	COMPANY NAME	PHONE	OPEN BALANCE	ACTION
Sales	Sales		£300.00	Receive payment

1-1 of 1

Privacy

Bank Statement

Please note that in QuickBooks, you do not need to enter bank payments and receipts manually. Instead, the bank statement is downloaded from the Bank account automatically if Bank is linked with the Software. Once all the transactions are uploaded, they can be reviewed and then reconciled.

Please note that under training conditions, we cannot link/connect the bank and download the statement from the bank. However, we can prepare the statement in Excel and then import it into QuickBooks. We will use the **Barclays Business** as a bank from the Chart of Accounts while importing the bank statement.

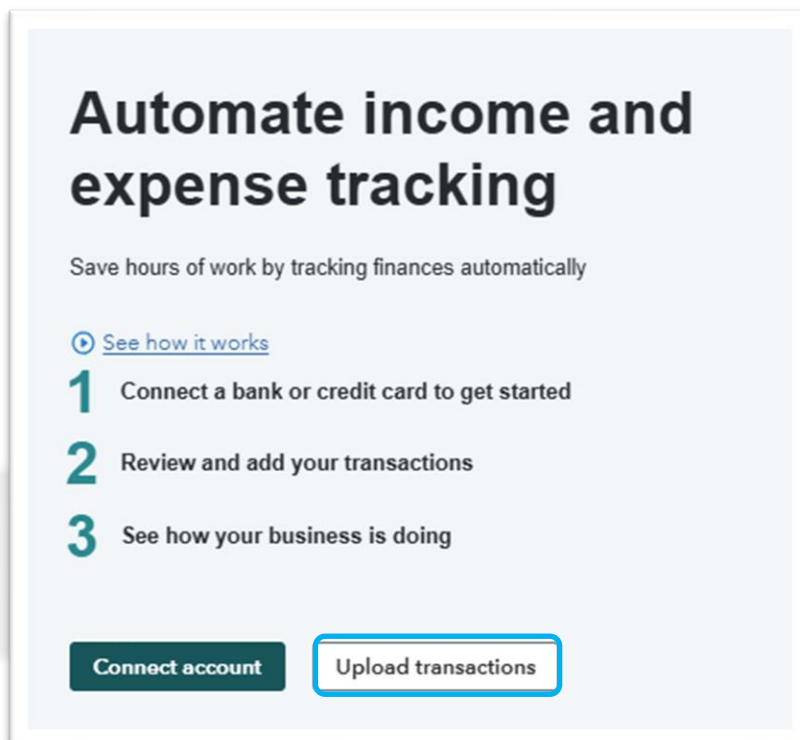
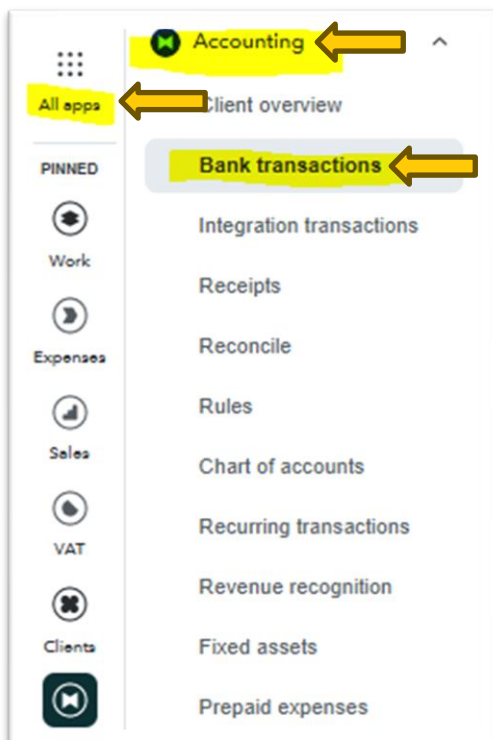
After recording all the transactions into Excel, we will save them in **the CSV format**, and we will upload the bank transactions to QuickBooks. The example of the template is shown below:

Date	Details	Amount
01/01/2025	Deposit - Director	45000
15/01/2025	Facebook	-320
16/01/2025	Asda - service station	-56.83
17/01/2025	Google	-56
18/01/2025	Cash Withdrawn	-250
31/01/2025	Service Charges	-3.5
31/01/2025	Salary	-1000
06/02/2025	Aston & Fincher	-371.28
07/02/2025	Ryman	-42
22/02/2025	HMRC - PAYE	-256
27/02/2025	L'Oreal	-341.4
28/02/2025	Google	-56
28/02/2025	Service Charges	-3.5
28/02/2025	Cash Withdrawn	-300
28/02/2025	Salary	-1000
02/03/2025	SoloPress	-27.6
03/03/2025	SoloPress	-27.6
03/03/2025	Calumet	-107
05/03/2025	Automated credit	150
05/03/2025	Automated credit	300

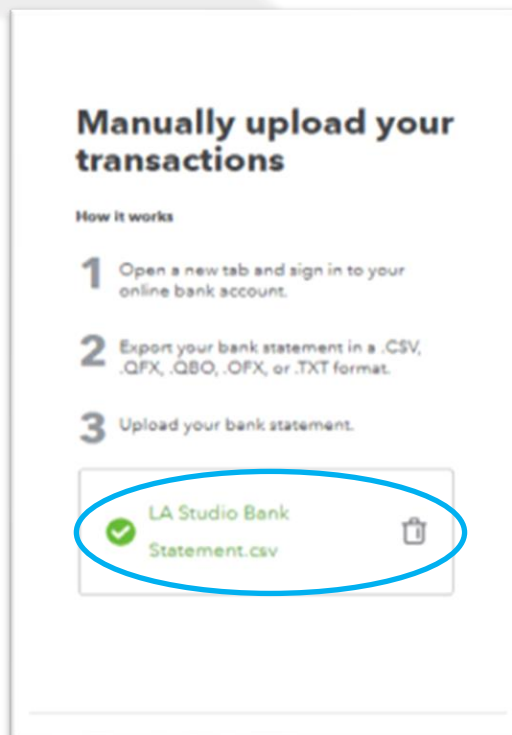
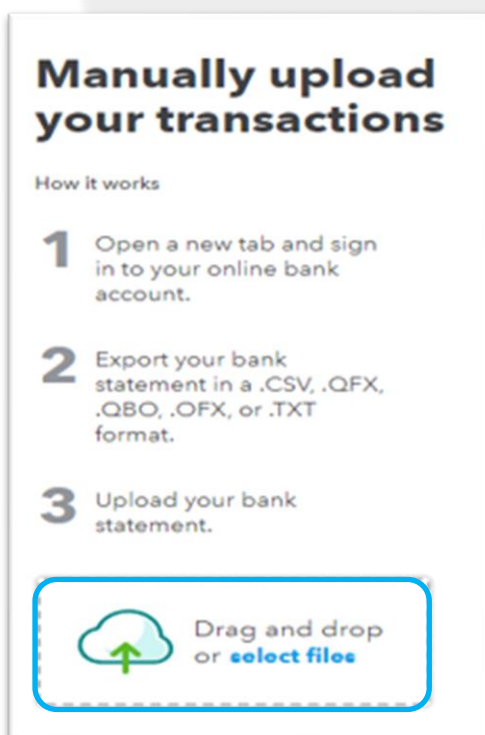
Please note that the payment amount should be recorded with the " - "sign

How to Import the Bank Statement:

Select **"All Apps"** – Select **"Accounting"** – click on **"Bank Transactions"** - click on **"Upload Transactions"**



Import the Statement in QuickBooks by clicking on **"Select files,"** browse the CSV file you want to upload, and click on **continue.**



Select the **Bank account** for the file you want to upload, e.g., **Barclays Business** and click **Continue**:

Which account are these transactions from?

Selected File: LA Studio Bank Statement.csv

Select a QuickBooks account for the bank file you want to upload

100 Barclays Business

+ Add new

100 Barclays Business Bank

101 Petty Cash Bank

152 Prepaid Expenses Other Current Asset

153 Accounts Receivable Other Current Asset

155 Cash withdrawn Other Current Asset

Stock Asset Other Current Asset

Continue

Make sure that Date, Description, and Amount in your CSV file are in the same columns as in QuickBooks fields; if not, the same then **do mapping**. Set up your file on QuickBooks as shown below, and click Continue

Let's set up your file in QuickBooks

Step 1: Tell us about the format of your data

Is the first row in your file a header?

Yes

How many columns show amounts?

One column

What's the date format used in your file?

dd/MM/yyyy

Step 2: Select the fields that correspond to your file

QuickBooks fields	Columns from your file
Date	Column 1: Date
Description	Column 2: Details
Amount	Column 3: Amount
Cheque number (optional)	Select a cheque nu...

Back

Continue

The list of transactions to be uploaded comes up on the screen. You can select the transactions you want to import. (Check the box given before the date to select all the transactions together), then click Continue:

Let's verify and import your transactions

Check: Generally, income transactions post as **positive** numbers and expense transactions post as **negative** ones. Occasionally, some banks send us files with this reversed. Do the transactions below correctly indicate income and expenses?

☒ Keep original values

☐ Reverse all values

Select: Choose the transactions you want to import.

☒	DATE	DESCRIPTION	AMOUNT
☒	01/01/2025	Deposit - Director	45,000.00
☒	15/01/2025	Facebook	-320.00
☒	16/01/2025	Asda - service station	-56.83
☒	17/01/2025	Google	-56.00
☒	18/01/2025	Cash Withdrawn	-250.00
☒	31/01/2025	Service Charges	-3.50
☒	31/01/2025	Salary	-1,000.00
☒	06/02/2025	Aston & Fincher	-371.28
☒	07/02/2025	Salary	-1,000.00

☒	31/03/2025	Service Charges	-3.50
☒	31/03/2025	Wex	-126.95
☒	31/03/2025	Salary	-1,000.00

Back

Continue

Click yes to confirm that you want to import the transactions.

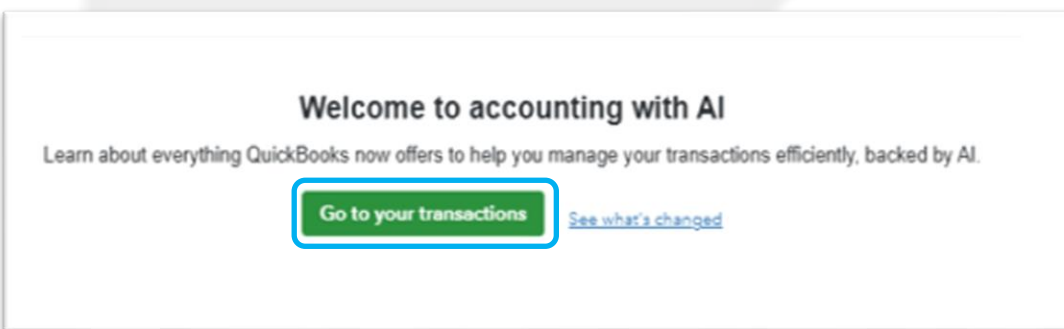
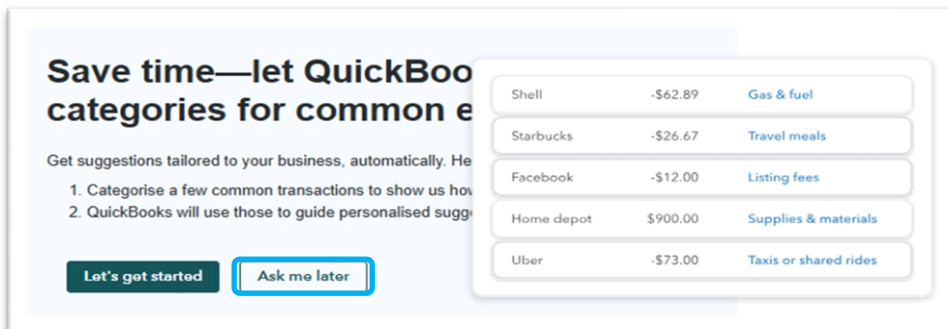
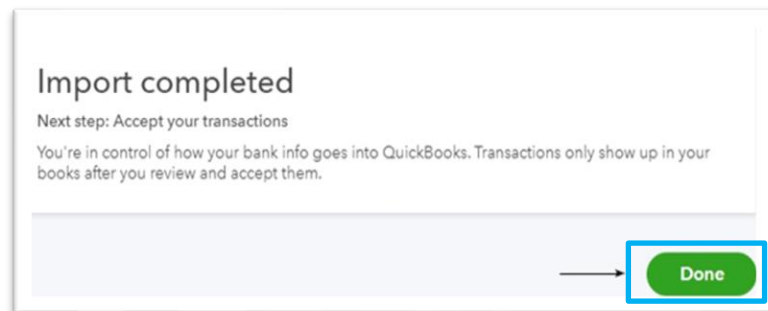
QuickBooks will import 52 transaction(s) using the fields you chose. Do you want to import now?

No

Yes

Once the import is completed, click on **Done**.

Once the transactions are imported, the following screens comes up: Click on "**Ask me later**" as we cannot link the Bank account, and then Click on "**Go to your Transactions**".



You will see Bank Transactions like the ones given below.

Bank transactions

100 Barclays Business

Give feedback

Requests

Link account

100 Barclays Busine...
Bank: £0.00
Posted: £0.00

New: Save more time with personalised category suggestions. We make suggestions based on how you prefer to categorise. [Get Started](#)

Pending (52) Posted Excluded

Switch to previous version Tutorial Go to bank register

	Date	Bank Description	Spent	Received		VAT	From/To	Match/Categorise	Action
☐	31/03/2025	Salary	£1,000.00		+	Select V	Select sup	308 Wages & Salaries	Post
☐	31/03/2025	Wex	£126.95		+	Select V	Select sup	309 Motor Vehicle Expense	Post
☐	31/03/2025	Service Charges	£3.50		+	Select V	Select sup	305 Bank Fee & Charges	Post
☐	26/03/2025	Automated		£600.00	+	Select V	Select cus	451 Other Income	Post
☐	24/03/2025	Automated		£250.00	+	Select V	Sale	451 Other Income	Post
☐	23/03/2025	Uber.com	£5.00		+	Select V	Select sup	309 Motor Vehicle Expense	Post
☐	23/03/2025	Uber.com	£5.32		+	Select V	Select sup	309 Motor Vehicle Expense	Post
☐	22/03/2025	Hm Revenue & Customs	£256.00		+	Select V	Select sup	304 Professional Fee	Post
☐	22/03/2025	Automated		£665.00	+	Select V	Select cus	451 Other Income	Post
☐	22/03/2025	Automated		£365.00	+	Select V	Select cus	451 Other Income	Post
☐	22/03/2025	Automated		£130.00	+	Select V	Select cus	451 Other Income	Post

Bank Categorization:

Please note that VAT does not apply to bank transactions and automated credit receipts from customers.

For Supplier payments, match them with their respective Bill & For customer/Automated Credit transactions, match them with their respective Invoices. For Bank Receipts & Bank Payments, category/Chart of Account & VAT rates are given below in Bank statement transactions list.

For Customer Receipts:

Click on the transaction, and click on the Match option

05/03/2025 Automated £300.00 + + Select VAT Select custom 451 Other Income Post

Full Bank Description
Automated credit

Match Categorise

Suggestions Explain why ⓘ

Based on transaction details. No related historical transactions. 1

> 451 Other Income

Here, different Invoices will appear. You need to search for the relevant amount, and the relevant invoice will appear there.

Automated Received
Automated credit £300.00
05/03/2025

Find and select record(s) to match

Suggested matches 1 Invoice

Search Date range Record type Filters

Q Custom Select... Filters

Date: 05/12/2024-04/04/2025 X

	DATE ↑	TYPE	REF NO.	PAYEE	TRANSACTION AMOUNT	OPEN BALANCE	PAYMENT
☐	05/03/2025	Invoice	1001	Sales	£300.00	£300.00	

1 - 1 of 1 items < Page 1 of 1 >

Bank transaction amount: £300.00
Selected amount: £0.00
Difference: £300.00

Then select the invoice & click on Match.

Automated
Automated credit
5/03/2025

Received
£300.00

Find and select record(s) to match

Suggested matches 1 Invoice

Search Date range Record type Filters

Search: Custom Select... Filters

Date: 05/12/2024-04/04/2025

1 record selected

DATE	TYPE	REF NO.	PAYEE	TRANSACTION AMOUNT	OPEN BALANCE	PAYMENT
05/03/2025	Invoice	1001	Sales	£300.00	£300.00	300.00

1 - 1 of 1 items < Page 1 of 1 >

Bank transaction amount: £300.00
Selected amount: £300.00
Difference: £0.00

> If needed, resolve the difference

① Total amount: £300.00

Cancel Match

The transaction will get matched with its respective invoice & the transaction will be moved from the Pending tab to the Posted Tab.

100 Barclays Busine... 51
Bank: £0.00
Posted: £300.00 25 m 0

Pending (51) **Posted** Excluded

Switch to previous version Tutorial Go to bank register

Search All dates Filter

1-1 of 1 < Page 1 of 1 >

Date	Bank Description	Spent	Received	From/To	Match/Category	Transaction Posted	Action
05/03/2025	Automated		£300.00	Sales	+ Matched	Payment 05/03/2025	Undo

For Supplier Payments:

Click on the transaction, and click on the Match option, ignore all the other things as these are just suggestions.

06/02/2025 Aston & Fincher £371.28 + + Select VAT Select suppl 301 Sub-contractors Post

Full Bank Description
Aston & Fincher

Match Categorise

Transaction type Expense From/To Select supplier

Account 301 Sub-contractors VAT * Select VAT

Customer/project

Suggestions Explain why

Based on transaction details. No related historical transactions.

> 301 Sub-contractors

No supplier found

Important information about how we use generative AI.
Was this helpful?

Here, different Bills will appear. You need to search for the relevant amount

Aston & Fincher
Aston & Fincher
06/02/2025

Spent
£371.28

Find and select record(s) to match

Suggested matches

1 Bill

Search

Date range

Record type

Custom

Select...

Filters

Customise

Date: 08/11/2024-08/03/2025

☐	DATE ↑	TYPE	REF NO.	PAYEE	TRANSACTION AMOUNT	OPEN BALANCE	PAYMENT
☐	06/02/2025	Bill	342487	Aston & Fincher	£371.28	£371.28	

1 - 1 of 1 items

< Page 1 of 1 >

Bank transaction amount:

£371.28

Selected amount:

£0.00

Difference:

£371.28

Then select the Bill & click on Match. The transaction will get matched with its respective Bill & the transaction will be moved from the Pending tab to the Posted Tab.

06/02/2025	Aston & Fincher	£371.28	Aston & Fincher	+	Matched	Bill Payment 06/02/2025	Undo
------------	-----------------	---------	-----------------	---	---------	-------------------------	------

If something is incorrectly matched or posted, you can open the posted tab, click on undo, and then that specific transaction will be removed from the posted tab back to the Pending tab. Then, you can reconcile it again correctly.

For Bank Receipts:

Select the transaction then click on Edit,

☒	01/01/2025	Deposit - Director		£45,000.00	+	+	Select VAT	Select custo	450 Sales	Post
☐	15/01/2025	Facebook	£320.00		+	+	Select VAT	Select suppl	30701 Advertising & Marketing:Facebo	Post
☐	28/02/2025	Google	£56.00		+	+	Select VAT	Select suppl	30702 Advertising & Marketing:Google	Post

1 money in transaction £45,000.00

Post

Edit

Exclude

Request more info

Put the relevant details and "Apply & accept".

You can categorize multiple transactions in one go in this way, by selecting them together.

For Bank Payments:

If you are categorizing a single transaction, you can record it in the following way as well. Select the VAT type and check the account of suggestion is accurate then click on post, if not then select the relevant Chart of Account, then click on post.

Here, we need to change the category from professional fee to **VAT Suspense Account**.

☐	22/02/2025	Hm Revenue & Customs	£256.00	+	+	No VAT (0	Select	304 Professional Fee	Post
--------------------------	------------	----------------------	---------	---	---	-----------	--------	----------------------	------

Now after selecting VAT suspense Account, you can click on **post**.

☐	22/02/2025	Hm Revenue & Customs	£256.00	+	+	No VAT (0	Select suppl	VAT Suspense	Post
--------------------------	------------	----------------------	---------	---	---	-----------	--------------	--------------	------

VAT suspense account – In QuickBooks, when you file VAT or mark it as filed, QB transfers the VAT owed from VAT control/liability to VAT suspense account

That is why when a bank payment is made towards HMRC, the VAT suspense account is used.

For Bank Transfers:

Select all the transactions of **"Cash Withdrawn"**, then click on edit then choose the required fields then click on **apply & post**

Transaction Type: Transfer

Account: Petty Cash

VAT: No VAT (0% purchases)

☒	28/02/2025	Cash	£300.00		+	+	Select VA1	Select suppl	305 Bank Fee & Charges	Post
☒	19/03/2025	Cash	£250.00		+	+	Select VA1	Select suppl	305 Bank Fee & Charges	Post
☒	18/01/2025	Cash	£250.00		+	+	Select VA1	Select suppl	305 Bank Fee & Charges	Post
☐	15/01/2025	Facebook	£320.00		+	+	Select VA1	Select suppl	30701 Advertising & Marketing:Facebook	Post

3 money out transactions -£800.00
Post
Edit
Exclude
Request more info

Edit selected transactions

Transaction type
Transfer

Supplier/Customer name
Select payee

Account
101 Petty Cash

VAT
No VAT (0% Purchases)

Customer/project
Select customer/project

Cancel
Apply
Apply and post

Once you are done with posting the transactions your posted tab will look like this

Bank Receipts: Deposit

Bank Payments: Expense

Supplier Payments: Bill payment

Customer Receipts: Payment

Bank Transfer: Transfer

☐	Date	Bank Description ▲	Spent	Received	From/To		Match/Category	Transaction Posted	Action
☐	06/02/2025	Aston & Fincher	£371.28		Aston & Fincher	+	Matched	Bill Payment 06/02/2025	Undo
☐	05/03/2025	Automated		£300.00	Sales	+	Matched	Payment 05/03/2025	Undo
☐	18/01/2025	Cash	£250.00			+	101 Petty Cash	Transfer 18/01/2025	Undo
☐	28/02/2025	Cash	£300.00			+	101 Petty Cash	Transfer 28/02/2025	Undo
☐	19/03/2025	Cash	£250.00			+	101 Petty Cash	Transfer 19/03/2025	Undo
☐	01/01/2025	Deposit - Director		£45,000.00	Select customer	+	401 Other Loans	Deposit 01/01/2025	Undo
☐	22/02/2025	Hm Revenue & Customs	£256.00		Select supplier	+	VAT Suspense	Expense 22/02/2025	Undo
☐	22/03/2025	Hm Revenue & Customs	£256.00		Select supplier	+	VAT Suspense	Expense 22/03/2025	Undo
☐	31/01/2025	Salary	£1,000.00		Select supplier	+	308 Wages & Salaries	Expense 31/01/2025	Undo
☐	28/02/2025	Salary	£1,000.00		Select supplier	+	308 Wages & Salaries	Expense 28/02/2025	Undo
☐	31/03/2025	Salary	£1,000.00		Select supplier	+	308 Wages & Salaries	Expense 31/03/2025	Undo
☐	31/03/2025	Wex	£126.95		WEX photographic	+	Matched	Bill Payment 31/03/2025	Undo

Please find below the list of transactions (Bank Receipts & Payments) which require special attention:

Date	Transaction	Account name	VAT
01/01/2025	Deposit – Director	Other loans	NO VAT
15/01/2025	Facebook	Facebook	NO VAT
16/01/2025	Asda – service station	Motor Vehicle Expense	NO VAT
17/01/2025	Google	Google	NO VAT
18/01/2025	Cash Withdrawn	BANK TRANSFER to Petty Cash	NO VAT
31/01/2025	Service Charges	Bank Fee & Charges	NO VAT
31/01/2025	Salary	Wages & Salaries	NO VAT
07/02/2025	Ryman	Printing, Postage and Stationery	NO VAT
22/02/2025	HMRC – PAYE	PAYE	NO VAT
13/03/2025	Morrisons – service station	Motor Vehicle Expense	NO VAT
18/03/2025	Loyalty reward	Bank interest received	NO VAT
07/05/2025	HMRC - VAT	VAT Suspense account*	NO VAT
10/06/2025	BNE (business networking event)	Professional Fee	NO VAT
11/06/2025	Utilities and rates	Utilities	NO VAT
18/03/2025	Bank Charges (positive Figure)	Other Income	NO VAT

Note: We don't have any "No VAT" option here in QBO, so for the money in Transactions select **"No VAT (0% Sales)"** and for money out transactions select **"No VAT (0% purchases)"**.

Once you are done with categorizing all the transactions, it will appear like this:

Bank transactions

100 Barclays Business

Give feedback

Requests

Link account

100 Barclays Busine...

Bank: £0.00

Posted: £42,937.77

Pending (0)

Posted

Excluded

Switch to previous version

Tutorial

Go to bank register

Search

All dates

All transactions

No results

Date	Bank Description	Spent	Received	VAT	From/To	Match/Categorise	Action
------	------------------	-------	----------	-----	---------	------------------	--------

✓

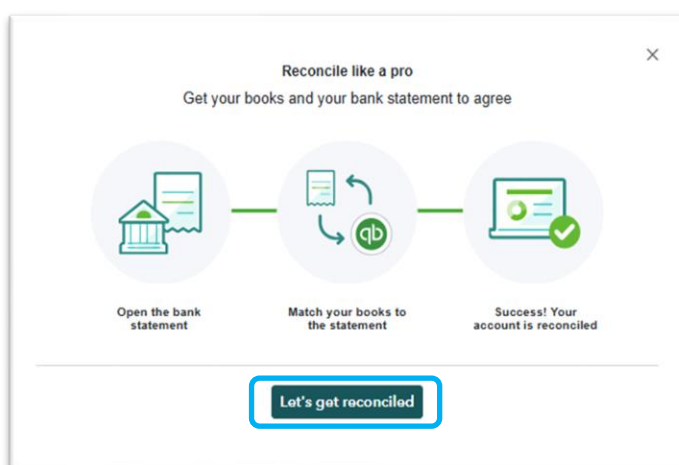
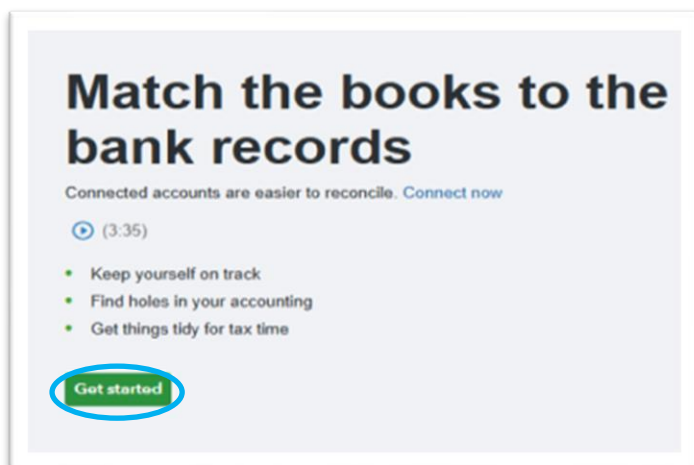
All caught up!

You reviewed all your transactions. Check out your profit and loss to see how your business is doing.

0-0 of 0 items

Bank Reconciliation

To reconcile transactions, select **"All Apps"** – Select **"Accounting"** – click on **"Reconcile"** - click on **"Get started"** then click on **"Let's get reconciled"**



Enter the Closing Balance and the Ending Date, then click on Start Reconciling.

Chart of accounts / Bank register / Reconcile

Reconcile

Which account do you want to reconcile?

Account

100 Barclays Business

Add the following information*

Beginning balance	Statement ending balance	Statement ending date
0.00	0.00	dd/mm/yyyy

Start reconciling

Chart of accounts / Bank register / Reconcile

Reconcile

Which account do you want to reconcile?

Account

100 Barclays Business

Add the following information*

Beginning balance	Statement ending balance	Statement ending date
0.00	42,937.77	31/03/2025

Start reconciling

- Following the order of the Bank Statement, match the transactions against the records in QuickBooks
- When all transactions are matched, the difference between the Matched Balance and Statement Balance should be zero
- Please note that the process of bank reconciliation cannot be reversed. Therefore, first make sure that the difference between Matched Balance and Bank Statement is ZERO, and only after that, click the 'Finish Now' button.
- Once the difference is zero, click on **the Finish Now**

Chart of accounts / Bank register / Reconcile

100 Barclays Business

Statement ending date: March 31, 2025

£42,937.77

STATEMENT ENDING BALANCE

-

£42,937.77

CLEARED BALANCE

£0.00

BEGINNING BALANCE

-

£6,650.29

32 PAYMENTS

+

£49,588.06

20 DEPOSITS

£0.00

DIFFERENCE

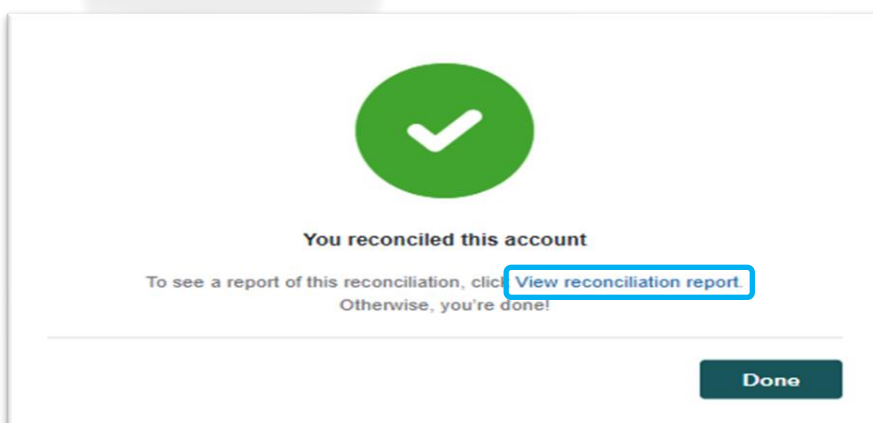
Edit info **Finish now**

Statement ending date: Clear filter / View all

Payments Deposits All

DATE ▲	CLEARED DATE	TYPE	REF NO.	ACCOUNT	PAYEE	MEMO	PAYMENT (GBP)	DEPOSIT (GBP)
01/01/2025	01/01/2025	Deposit		401 Other Loans		Deposit - Director		45,000.00
15/01/2025	15/01/2025	Expense		30701 Advertising & Marketi...		Facebook	320.00	
16/01/2025	16/01/2025	Expense		309 Motor Vehicle Expense		Aade - service station	56.83	
17/01/2025	17/01/2025	Expense		30702 Advertising & Marketi...		Google	56.00	
18/01/2025	18/01/2025	Transfer		101 Petty Cash		Cash Withdrawn	250.00	
31/01/2025	31/01/2025	Expense		305 Bank Fee & Charges		Service Charges	3.50	
31/01/2025	31/01/2025	Expense		308 Wages & Salaries		Salary	1,000.00	
06/02/2025	06/02/2025	Bill Payment		Creditors	Aston & Fincher		371.28	
07/02/2025	07/02/2025	Expense		300 Printing, Postage & Stati...		Ryman	42.00	
22/02/2025	22/02/2025	Expense		VAT Suspense		HMRC - PAYE	256.00	
27/02/2025	27/02/2025	Bill Payment		Creditors	Loreal		341.40	
28/02/2025	28/02/2025	Expense		30702 Advertising & Marketi...		Google	56.00	
28/02/2025	28/02/2025	Expense		305 Bank Fee & Charges		Service Charges	3.50	
28/02/2025	28/02/2025	Transfer		101 Petty Cash		Cash Withdrawn	300.00	
28/02/2025	28/02/2025	Expense		308 Wages & Salaries		Salary	1,000.00	
02/03/2025	02/03/2025	Bill Payment		Creditors	Solo press		27.60	
03/03/2025	03/03/2025	Bill Payment		Creditors	Solo press		27.60	
03/03/2025	03/03/2025	Bill Payment		Creditors	Calumet		107.00	
05/03/2025	05/03/2025	Receive Payment		Debtors	Sales			150.00
05/03/2025	05/03/2025	Receive Payment		Debtors	Sales			300.00
06/03/2025	06/03/2025	Bill Payment		Creditors	Solo press		27.60	
06/03/2025	06/03/2025	Bill Payment		Creditors	BT		56.80	
09/03/2025	09/03/2025	Bill Payment		Creditors	Reena Buchan		160.00	

- Once the bank is reconciled, you can view the reconciliation report



- Click on View Reconciliation Report. Then you will see the following Report.

Chart of accounts / Bank register / History by account / Report

Reconciliation report

Summary Reconcile

Account
100 Barclays Business

LA studio
100 Barclays Business, Period Ending 31/03/2025

RECONCILIATION REPORT

Reconciled on: 20/05/2026
Reconciled by: hanzla khalid

Any changes made to transactions after this date aren't included in this report.

Summary

	GBP
Statement beginning balance	0.00
Cheques and payments cleared (32)	-6,650.29
Deposits and other credits cleared (20)	49,588.06
Statement ending balance	42,937.77
Register balance as of 31/03/2025	42,937.77

Details

Cheques and payments cleared (32)

DATE	TYPE	REF NO.	PAYEE	AMOUNT (GBP)
15/01/2025	Expense			-320.00
16/01/2025	Expense			-56.83
17/01/2025	Expense			-56.00
18/01/2025	Transfer			-250.00
31/01/2025	Expense			-3.50
31/01/2025	Expense			-1,000.00
06/02/2025	Bill Payment		Aston & Fincher	-371.28
07/02/2025	Expense			-42.00
22/02/2025	Expense			-256.00
27/02/2025	Bill Payment		L'oreal	-341.40
28/02/2025	Expense			-56.00
28/02/2025	Expense			-1,000.00
28/02/2025	Transfer			-300.00

Credit Side will show the Following Balances.

Deposits and other credits cleared (20)				
DATE	TYPE	REF NO.	PAYEE	AMOUNT (GBP)
01/01/2025	Deposit			45,000.00
05/03/2025	Receive Payment		Sales	150.00
05/03/2025	Receive Payment		Sales	300.00
10/03/2025	Receive Payment		Sales	100.00
11/03/2025	Receive Payment		Sales	67.50
11/03/2025	Receive Payment		Sales	165.00
11/03/2025	Receive Payment		Sales	650.00
11/03/2025	Receive Payment		Sales	64.00
17/03/2025	Receive Payment		Sales	115.00
17/03/2025	Receive Payment		Sales	30.00
18/03/2025	Receive Payment		Sales	750.00
18/03/2025	Deposit			1.56
19/03/2025	Receive Payment		Sales	150.00
22/03/2025	Receive Payment		Sales	5.00
22/03/2025	Receive Payment		Sales	365.00
22/03/2025	Receive Payment		Sales	665.00
22/03/2025	Receive Payment		Sales	30.00
22/03/2025	Receive Payment		Sales	130.00
24/03/2025	Receive Payment		Sales	250.00
26/03/2025	Receive Payment		Sales	600.00
Total				49,588.06

Debit Side will show the following Balances.

Cheques and payments cleared (32)				
DATE	TYPE	REF NO.	PAYEE	AMOUNT (GBP)
15/01/2025	Expense			-320.00
16/01/2025	Expense			-56.83
17/01/2025	Expense			-56.00
18/01/2025	Transfer			-250.00
31/01/2025	Expense			-3.50
31/01/2025	Expense			-1,000.00
06/02/2025	Bill Payment		Aston & Fincher	-371.28
07/02/2025	Expense			-42.00
22/02/2025	Expense			-256.00
27/02/2025	Bill Payment		L'oreal	-341.40
28/02/2025	Expense			-56.00
28/02/2025	Expense			-1,000.00
28/02/2025	Transfer			-300.00
28/02/2025	Expense			-3.50
02/03/2025	Bill Payment		Solo press	-27.60
03/03/2025	Bill Payment		Calumet	-107.00
03/03/2025	Bill Payment		Solo press	-27.60
06/03/2025	Bill Payment		Solo press	-27.60
06/03/2025	Bill Payment		BT	-56.80
09/03/2025	Bill Payment		Raena Buchan	-160.00
12/03/2025	Bill Payment		Amazon	-53.13
13/03/2025	Expense			-83.34
15/03/2025	Expense			-56.00
15/03/2025	Bill Payment		Raena Buchan	-300.00
17/03/2025	Bill Payment		Windsor Telecom	-47.94
19/03/2025	Transfer			-250.00
22/03/2025	Expense			-256.00
23/03/2025	Bill Payment		Uber	-5.00
23/03/2025	Bill Payment		Uber	-5.32
31/03/2025	Expense			-1,000.00
31/03/2025	Expense			-3.50
31/03/2025	Bill Payment		WEX photographic	-126.95
Total				-6,650.29

You can also print the report by clicking on the relevant option.

Chart of accounts / Bank register / History by account / Report

Reconciliation report

SummaryReconcile

Account

100 Barclays Business



LA studio

100 Barclays Business, Period Ending 31/03/2025

RECONCILIATION REPORT

Reconciled on: 20/05/2026

VAT Return

To generate and submit a VAT return, Click on **All Apps > VAT > Overview**, here click on I don't need MTD. Then again click on I don't need MTD.

Let's check you don't need Making Tax Digital (MTD)

You need to set up Making Tax Digital for VAT in QuickBooks unless:

- the location of your business means you're exempt
- you're tracking VAT for multiple companies
- you're using another software to submit your VAT return

i If none of these apply you need Making Tax Digital.

Set up MTD
I don't need MTD




Then click on done, then click on "prepare return" option.

VAT

Edit VAT
Add tax

£0.00
01/01/2026 - 31/03/2026

£0.00 COLLECTED ON SALES - £0.00 PAID ON PURCHASES - £0.00 ADJUSTMENTS

Finish strong.
File your return and mark it filed here to keep your books in order.
[How to record payments](#)

Returns
Payments
View reports

All returns

START DATE	END DATE	FILE DATE	VAT DUE	PAYMENTS	BALANCE	STATUS	ACTION
Open returns							
01/01/2026	31/03/2026	20/05/2026	£0.00	£0.00	£0.00	Open	Prepare return



Specify the VAT Period (Start date & end date), it will show the total amount to be paid to HMRC/refunded from HMRC. Click on "Mark as filed", if your VAT is correct.

Accounting period

Start date

End date

Submission date

TAX DUE

Quarterly

01/01/2025

31/03/2025

20/05/2026

£566.55

Check for any discrepancies before you file.

Run pre-file check

[How to file a return](#)

VAT Return

HM Revenue & Customs (VAT)

LA studio (VAT registration # 123456789)

01/01/2025 - 31/03/2025

VAT

Standard basis

Submission date: 20/05/2026

VAT due on sales and other outputs.....	Box 1	£764.42	Adjust
VAT due in the period on acquisitions of goods made in Northern Ireland from EU Member States.....	Box 2	£0.00	Adjust
Total output tax due.....	Box 3	£764.42	
VAT reclaimed in the period on purchases and other inputs (including acquisitions in Northern Ireland from EU member states).....	Box 4	£197.87	Adjust
Net VAT to pay (or reclaim).....	Box 5	£566.55	
Net value of sales.....	Box 6	£3,822.08	Adjust
Net value of purchases.....	Box 7	£999.75	Adjust
Total value of dispatches of goods and related costs (excluding VAT) from Northern Ireland to EU Member States.....	Box 8	£0.00	Adjust
Total value of acquisitions of goods and related costs (excluding VAT) made in Northern Ireland from EU Member States.....	Box 9	£0.00	Adjust

Print

Export

File online with HMRC

Mark as filed



Main VAT Return Boxes

Box 1 – VAT due on sales

- VAT you charged on your sales (output VAT)

Box 2 – VAT due on EU acquisitions

- VAT on goods bought from EU countries (less common now post-Brexit)

Box 3 – Total VAT due

- Box 1 + Box 2

Box 4 – VAT reclaimable on purchases

- VAT you paid on business expenses (input VAT)

Box 5 – Net VAT to pay or reclaim

- **Box 3 – Box 4**
- This is what you either:
 - Pay to the tax authority
 - Or reclaim

Box 6 – Total value of sales (excluding VAT)

- Net sales value

Box 7 – Total value of purchases (excluding VAT)

- Net purchases value

Box 8 – EU sales

- Value of goods sold to EU countries (if applicable)

Box 9 – EU purchases

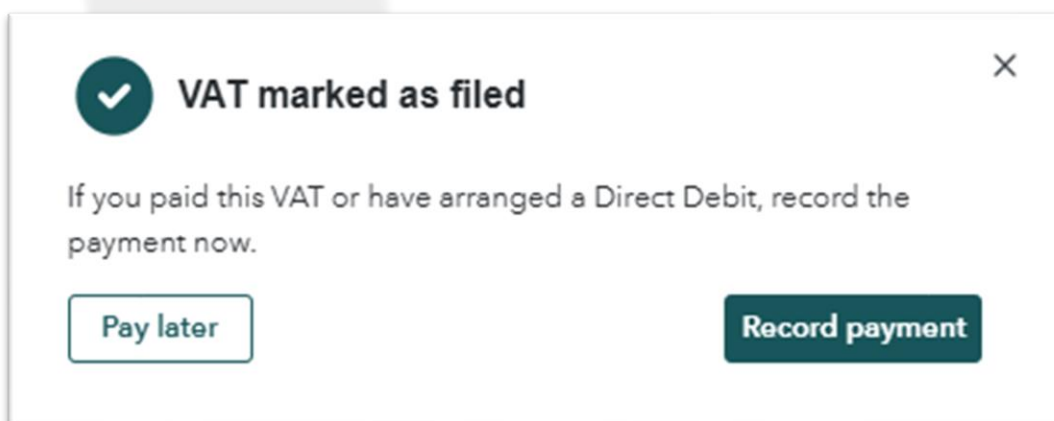
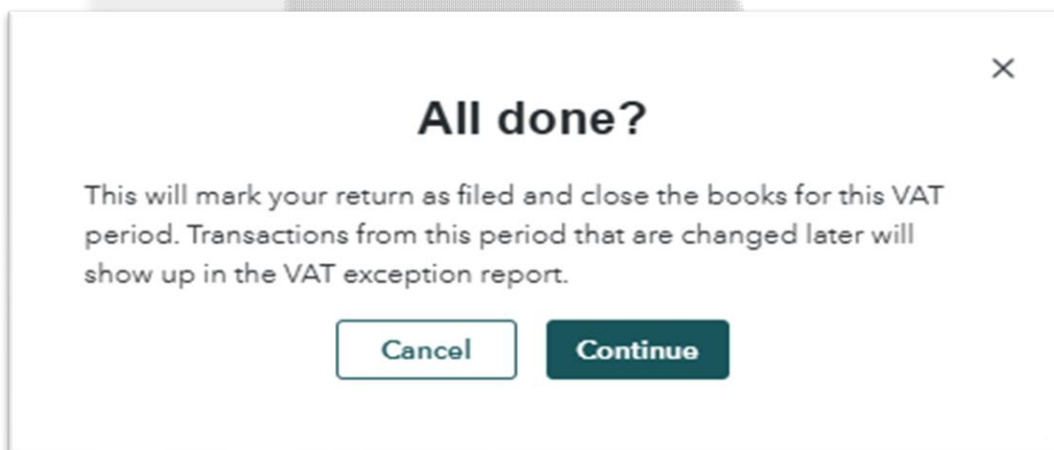
- Value of goods bought from EU countries

Output VAT is the tax you **charge your customers** when you sell goods or services, or VAT charged on sales.

Input VAT is the tax you **pay on your business purchases**.

- You can export your VAT report to Excel as well. The option is on the right-hand side.
- Check **with the model answer and correct it.**
- If your VAT return figures match the model answer, then finalize VAT return.
- For practical training purposes, you can't send the VAT return to HMRC. In a real scenario, first, you need to register as MTD online. From every bookkeeping software you chose to register as MTD. Once you have registered as MTD for your business, you will be able to send the VAT return to HMRC.
- All VAT-registered businesses need to file their VAT returns using our MTD VAT return. This filing process replaces all previous filing methods, including filing through HMRC's VAT online services.

Click on Continue, then click on Record Payment.



You will see the following prompt. Put in all the required information.

Record VAT payment

Bank account

Payment type
☒ Payment
☐ Refund

VAT period
01/01/2025 - 31/03/2025

VAT due this period
£566.55

Total VAT due
£54.55

Payment date

Payment amount

Memo

Bank account

100 Barclays Business

Payment type
☒ Payment
☐ Refund

VAT period
01/01/2025 - 31/03/2025

VAT due this period
£566.55

Total VAT due
£54.55

Payment date

Payment amount

Memo

Bank Account: Barclays Business

Payment Date: (Date between 1 month and 7 Days after the quarter ends)

Amount: Amount Payable

Memo: VAT Payment for Q1 2025

Then, click on Save.

After that, your VAT return will appear as Paid.

Filed returns ▼							
01/01/2025	31/03/2025	20/05/2026	£566.55	£566.55	£0.00	Paid	☒ View summary ▼

Learning Outcomes

- ✓ Company Set up
- ✓ VAT Set up
- ✓ Charts of Accounts
- ✓ Create / Edit Supplier & Customer Records
- ✓ Post/ Correct/ Delete Purchases & Sales Invoices/ Credit Notes
- ✓ Bank Statement Transactions
- ✓ Bank Categorization & Reconciliation
- ✓ VAT Return





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